Ref. Ares(2026)9952478 - 22/10/2026

FRAMEWORK SERVICE CONTRACT

AI GIGAFACTORY [NAME]
ACQUISITION OF AI COMPUTE CAPACITY/ ACCESS TIME

NUMBER — *[complete]*

LOT *[Number]*

1. The European High Performance Computing Joint Undertaking (hereinafter "EuroHPC JU") in its own name and on its own behalf and in the name and on behalf of the following national contracting authorities of the Participating States to the EuroHPC JU:

[Participating State/ Participating State's national authority]
[Participating State/ Participating State's national authority]
[REPEAT AS MABY TIMES AS NECESSARY]
(hereinafter "National Contracting Authorities")

In this framework contract, the EuroHPC JU and the National Contracting Authorities are referred to collectively as the "Contracting Authority" or "Contracting Authorities".

represented for the purposes of the signature of this framework contract by the authorised representative indicated in the respective field under "SIGNATURES" below,

of the one part and

[Option 1: The tender was submitted by a single tenderer or by a group of economic operators with a separate legal personality:

2. [*Contractor's full official name*]
[*Contractor's official legal form*]
[*Contractor's statutory registration number or ID or passport number*]
[*Contractor's full official address*]

[*OPTION for contractors with VAT: VAT registration number*]
('the contractor')]

[Option 2: The tender was submitted by a group of economic operators without a separate legal personality:
2. [*Include the name of the group if any],* group of economic operators who submitted a joint tender ('the group') composed of the following members who are jointly and severally liable vis-a-vis the contracting authority for the *implementation* of this framework contract:
[Contractor's official legal form]
[Contractor's statutory registration number or ID or passport number]
[Contractor's full official address]
[*OPTION for contractors with VAT: VAT registration number*]
appointed as leader of the group by the members of the group that submitted the joint tender,
[repeat the above data as many times as there are contractors in case of joint tender and continue numbering]
(collectively "the contractor"),]

represented for the purposes of signing this framework contract by the authorised representative indicated in the respective field under "SIGNATURES" below,
on the other part,

HAVE AGREED as follows:

MAIN CONDITIONS

1. Subject matter and appointment of the contractor

The title of this framework contract (FWC) is: "*Acquisition of AI compute capacity/ access time from the [name] AIGF*."

The terms and conditions applying to this FWC are laid down hereafter and in the special and general conditions and their annexes. They shall be deemed to form and be read and construed as an integral part of this FWC in the order described in the special conditions.

The FWC does not confer on the contractor any exclusive right to provide the services subject of this FWC.

2. Contract value

The maximum amount covering all purchases (covering both Phase 1 and Phase 2 of the setting up and operation of the AIGF) under this FWC is EUR [*insert amount* (*insert amount in words*)]. The FWC will no longer have any effect for the purchase of additional services once that maximum amount is consumed.

3. Entry into force and duration

This FWC enters into force on the date on which the last party signs it.

The maximum duration of this FWC is *78 months* from the date this FWC enters into force.

4. Bank account

Payments shall be made in accordance with the special conditions into the following bank account:
Name of bank: [insert bank name]
Exact denomination of account holder: [full name of account holder]
Bank account number: [insert bank account number].

Signatures

For the contractor	**For the contracting authority**
[*signature contractor*]	Anders Dam JENSEN, Executive Director
Done on [*date*]	EuroHPC Joint Undertaking
	[*signature contracting authority*]
	Done on [*date*]

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I. SPECIAL CONDITIONS

I.1. ORDER OF PRECEDENCE

The following documents shall be deemed to form and be read and construed as part of this FWC:

- Main conditions,
- Special conditions (including its Appendices:
  Appendix 1 - List of Services and schedule of prices[1],
  Appendix 2 - Service Level Agreement (SLA) (minimum requirements) for the Union and Participating States' access time
  Appendix 3- Service Reporting

- General conditions for framework contracts**,**
- the following annexes:

Annex I – Tender specifications (call for tenders reference No [*complete*] of [*insert date*]), [including clarifications, answers to questions and corrigenda issued by the contracting authority during the submission phase]

Annex II – Contractor's tender ([*for Lot No.…*], reference No [*complete*] of [*insert date*]), [including clarifications provided by the tenderer, during the tender evaluation phase, at the Contracting authority's request].

Annex III – model for *specific* contracts[2]

Annex IV- Group members' shares in total contract value for VAT purposes

If there is any conflict between the provisions of the main conditions, special conditions, general conditions and Annexes I and II of this FWC, the following order of precedence shall apply:

a. Main conditions;
b. Special conditions including the appendices;
c. General conditions;
d. Tender specifications (Annex I);
e. Contractor's tender (Annex II).

[1] The initial version of Appendix 1 is based on the unit prices from the Contractor's price tender (included in Annex II), and shall be updated following every price revision (if applicable).

[2] Provided order forms and specific contracts are only templates. These templates can be updated and actual order forms and specific contracts can differ from them to adjust to concrete situations.

If there is any conflict between the provisions of the *specific contracts* signed during the FWC implementation and their annexes, the following order of precedence shall apply:

a. Signed *specific contracts*;
b. Requests for *specific contracts* (if applicable);
c. Contractor's specific tender/documents submitted for a *specific contract* (if applicable).

In case of a conflict, the provisions set out in the FWC and its annexes (except for Annex III) take precedence over those in the *specific contracts* and their annexes.

I.2. SCOPE OF THE FWC

The subject matter of the FWC is indicated in Article 1 of the Main conditions.

The scope of the FWC is provision of services by the contractor to the contracting authority in accordance with the terms and requirements set out in Annex I.

This FWC sets out:

1. the procedure by which the contracting authority may order services from the contractor;
2. the provisions that apply to any *specific contract* which the contracting authority and the contractor may conclude under this FWC; and
3. the obligations of the parties during and after the duration of this FWC.

Any reference to *specific contract(s)* in this FWC applies also to *order form*(s).

By submitting a tender, the contractor waives its own terms and conditions. All documents of this nature issued by the contractor (end-user agreements, general terms and conditions, etc.) are held inapplicable, unless explicitly mentioned in the special conditions of this FWC. In all circumstances, in the event of contradiction between this FWC and documents issued by the contractor, this FWC prevails, regardless of any provision to the contrary in the contractor's documents.

I.3. ENTRY INTO FORCE AND DURATION OF THE FWC

I.3.1 The entry into force and the maximum duration of the FWC are indicated in Article 3 of the Main conditions.

I.3.2 The *implementation of the FWC* cannot start before its entry into force.

I.3.3 The parties must sign any *specific contract* before the FWC expires or is terminated.

The FWC continues to apply to such *specific contracts* after its expiry or termination. The services relating to such *specific contracts* must be performed no later than twenty-four (24) months after the expiry or termination of the FWC. At the end of this period, all remaining *specific contracts* are automatically terminated.

I.3.4 The suspension of the *implementation* of the FWC or a *specific contract* due to *force majeure* as provided for in Article II.17 will automatically extend the duration of the FWC and of the specific contract by the duration of the suspension.

I.3.5 If, after the end of the FWC, one party continues to perform its obligations without opposition from the other party, such performance is not and cannot be construed as a renewal of the FWC.

I.4. IMPLEMENTATION OF THE FWC

I.4.1 The period for the provision of the services starts to run from the date indicated in the *specific contract*.

I.4.2 All *specific contracts* and the provision of the services shall conform to the provisions set out in the FWC, including its annexes.

I.4.3 Implementation of the FWC

The AIGF set up is structured in two distinct linked phases (Phase 1 for initial deployment and Phase 2 for expansion) and operationalised through the signature of consecutive *specific contracts* under the FWC, for the purchase of AI compute access time under each phase in accordance with the related condition specified in each *specific contract*.

The FWC is implemented as follows:

a) The contracting authority (-ies) orders services by sending the contractor a *request for specific contract*. The *request for specific contract* must determine the time limit for the contractor to state its intention to reply or not (which may not be less than three (3) days of receipt of the *request for specific contract*) and the reply time limit (which may not be less than seven (7) days of receipt of the *request for specific contract*).
   When submitting a *request for specific contract*, the contracting authority (-ies) may request the Contractor to implement additional specific technical requirements/ SLAs that are necessary for the contacting authority (-ies) and the use of the AI Compute capacity to be ordered. The contractor shall make every reasonable effort to accommodate such requests and in case it agrees to these additional specific technical requirements/SLAs, it shall do so at no additional cost for the contracting authority (-ies).
b) Within the time limit indicated in the *request for specific contract*, the contractor must state its intention to reply to the *request for specific contract* or not. The intention not to reply must be motivated appropriately.
c) The contractor's reply to the *request for specific contract* must be submitted within the time limit indicated in the *request for specific contract*.
d) The contracting authorities have the right to proceed with the opening and the assessment of the contractor's reply, immediately after its receipt, without having to wait for the expiration of the submission period specified in the *request for specific contract*.
e) The reply is binding on the contractor at least for the validity period mentioned in the *request for specific contract*, which should not be less than fifteen (15) days.

f) If the reply of the contractor is acceptable to the contracting authority, it will send the contractor an invitation to sign the specific contract. The specific contract has to be signed by the contractor within the time-limit indicated by the contracting authority in the invitation to sign the *specific contract*.
g) If the contractor repeatedly fails to reply to the *requests for specific contract* or fails to sign the resulting *specific contracts* within the set time limit, the contractor may be considered in breach of its obligations under this FWC as set out in Article II.18.1 (c).

When the use of electronic exchange system under Article I.7.1 is not activated for one or more of the contracting authorities, contracting authorities for which the use of electronic exchange system is not activated may decide to order services by sending the contractor a specific contract which the contractor must either send back duly signed and dated within seven (7) days, or , instead, send an explanation of why it cannot accept the order.

The contacting authorities may, without creating any binding commitment, maintain regular communication with the contractor regarding its anticipated operational needs in terms of AI compute access time and possible future *request for specific contract(s)*.

In this context, prior to the submission of a request for *request for specific contract(s)* the contracting authorities may informally communicate to the contractor indicative expectations, estimates, forecasts and non- binding projections concerning the volume, timing, and other relevant elements, including any specific requirements, of future *request for specific contract(s)* that may be envisaged for the following months or year(s).

Such exchanges shall be provided solely for planning and operational readiness purposes and shall neither constitute or be construed as a commitment, guarantee or obligation for the contracting authorities to submit future request *for specific contract(s) or* sign the *specific contracts.*

I.5. PRICES

I.5.1. Maximum amount of the FWC and maximum prices

The maximum amount covering all services performed under this FWC is indicated in Article 2 of the Main conditions. However, this does not bind the contracting authority to order services for the maximum amount.

The prices of the services are listed in Appendix 1 to the Special conditions.

I.5.2. Price revision index

Price revision is determined by the formula set out in Article II.20 as amended by Article I.23.2 and using the trend in the following indices:

1. *Inflation Index:* This will be determined using the weighted combination of two Eurostat Producer Price Indexes (PPI). To ensure maximum relevance to the operational realities of an AIGF, this index will specifically use an equally weighted

combination of the PPI categories most relevant to IT products with high energy demands (50% of the Eurostat PPI for "computer, electronic and optical products" combined with 50% of the PPI for "electricity, gas, steam and air conditioning supply").

2. *Advanced AI Compute Proxy Index: This index serves as a hardware market value proxy by tracking the public on-demand hourly instance rental rates [AM1] of leading tier-1 cloud service providers. It will be calculated as an equally weighted basket (33.3% each) tracking the performance-normalised costs of configurations powered by three state-of-the-art AI accelerators. The baseline basket will consist of the public on-demand hourly rates*[3] *for instances deploying:*
    a) *The NVIDIA Blackwell GB200*
    b) *The AMD Instinct MI355X.*
    c) *The Google Cloud TPU v7.*

    The values for this index will be extracted directly from the official, publicly accessible online pricing calculators and service pages of the respective cloud providers. In case, any of the above-mentioned AI accelerators included in the pool becomes obsolete or is discontinued, such accelerator shall be replaced in the weighted basket with the vendor's subsequent cloud instance model utilizing hardware of equal or higher performance capabilities. This shall be documented by an amendment to the FWC.

I.5.3. Reimbursement of expenses

Reimbursement of expenses is not applicable to this FWC.

I.6. PAYMENT ARRANGEMENTS

I.6.1. Bank account conditions

Payments under the FWC shall be made to the contractor's (or leader's in the case of joint tender) bank account specified in Article 4 of the Main conditions in accordance with Article II.21, which is complemented by this Article and the related provisions of the *specific contracts*.

The bank account is denominated in euro.

I.6.2. Pre-financing

Pre-financing is not applicable to this FWC.

[3] The hourly rate values of each technology for this index shall be calculated as an equally weighted average of publicly verifiable prices obtained from the following sources: (1) major hyperscalers (Amazon Web Services, Azure, Google Cloud Platform); (2) specialized AI cloud providers (CoreWeave, Lambda, RunPod, Spheron, Nscale); and (3) independent research benchmarks (SemiAnalysis). This average shall be computed exclusively from the subset of these specific entities where current pricing information is publicly available at the time of calculation.

I.6.3. Interim payments

1. The contractor may claim quarterly interim payment at the end of each quarter of service for the services (AI GPU-hours) for the services (AI GPU-hours) that have been reserved for that quarter *(Confirmed Reserved Capacity* based on relevant *specific contract(s)* in accordance with Article II.21.6.

The contractor must send the invoices for the interim payment as provided for in the tender specifications, accompanied by the following:

- Accepted Quarterly Capacity Statement in accordance with the *specific contract*

- Annex IV indicating the group members' shares for VAT purpose (if applicable).

For each payment specified above the contractor shall send [x] separate invoices for the respective amount to the EuroHPC JU.

- the amount to be paid by the EuroHPC JU, shall be exempt from VAT;

- the amount to be paid by each Participating States, shall [not] be subject to VAT, as per national legislation.

2. The contracting authority must approve any submitted documents or deliverables and pay within 60 days from receipt of the invoice.

3. The contracting authority may suspend the time limit for payment specified in point (2.) in accordance with Article II.21.7. Once the suspension is lifted, the contracting authority shall give its approval and pay within the remainder of the time limit indicated in point (2.) unless it rejects partially or fully the submitted documents or deliverables.

I.6.4. Payment of the balance

1. The contractor may claim the payment of the balance in accordance with Article II.21.6.

The contractor must send an invoice for payment of the balance due under a *specific contract,* as provided for in the tender specifications and accompanied by the following:

- Accepted Quarterly Capacity Statement the last quarter of the services in accordance with the specific contract
- Annex III indicating the group members' shares for VAT purpose (if applicable)

For the payment of the balance the contractor shall send [x] separate invoices for the respective amount to the EuroHPC JU.

- the amount to be paid by the EuroHPC JU, shall be exempt from VAT;

- the amount to be paid by each Participating States, shall [not] be subject to VAT, as per national legislation.

2. The contracting authority must approve the submitted documents or deliverables and pay within 60 days from receipt of the invoice.

3. The contracting authority may suspend the time limit for payment specified in point (2.) in accordance with Article II.21.7. Once the suspension is lifted, the contracting authority shall give its approval and pay within the remainder of the time limit indicated in point (2.) unless it rejects partially or fully the submitted documents or deliverables.

I.6.5. Performance guarantee

Performance guarantee is not applicable to this FWC.

I.6.6. Retention money guarantee

Retention money guarantee is not applicable to this FWC.

I.7. COMMUNICATION DETAILS

I.7.1. Communication via electronic exchange system

After the entry into force of this FWC, at any time during its course the contracting authority may formally notify in writing the contractor that certain communications will be made by electronic means through the EU Funding & Tenders Portal (the Portal), in accordance with the Portal Terms and Conditions and using the forms and templates provided there. The Portal can be accessed via the following URL: https://ec.europa.eu/info/funding-tenders/opportunities/portal/ The notification shall indicate whether all or only certain communications under the FWC will take place through the Portal. The notification shall have full legal effect from the date specified therein, which shall allow a reasonable period of time for the contractor to complete all necessary steps to have access to the Portal. The activation of the use of the Portal shall be at no additional cost for the contracting authority.

If the use of the Portal is activated, any communication covered by the activation notification related to the implementation of this FWC and any *specific contracts* shall be made through the Portal (except if explicitly instructed otherwise by the contracting authority or if communication via the Portal is hindered by factors beyond the control of the parties).

Communications by contractors through the Portal must be made by persons authorised according to the Portal Terms and Conditions. For naming the authorised persons to use the Portal, each contractor must designate before the date of effect of the activation notification a 'legal entity appointed representative (LEAR)'. The role and tasks of the LEAR are stipulated in their appointment letter (see Portal Terms and Conditions).

If the communication via the Portal is hindered, instructions will be provided by the contracting authority by email and may also be published on the Portal.

During the course of the FWC, the contracting authority reserve(s) the right to further extend the coverage of the communications made through the Portal (if its use has been already activated) or to activate the use of other electronic exchange systems, at no additional cost for the contracting authority.

In case of discrepancy between the clauses of the Portal Terms and Conditions or Terms and Conditions of other electronic exchange system and the clauses of this FWC, the clauses of this FWC (including its annexes) shall prevail.]

I.7.2. Mail or email communication

For the purpose of this FWC, mail or email communications must be sent to the following addresses:

Contracting authorities:

For the European High Performance Computing Joint Undertaking
Drosbach Building (DRB) - Wing E – 1st floor, 12E rue Guillaume Kroll, L-1882 Luxembourg

E-mail for technical questions: GIGAFACTORIES@eurohpc-ju.europa.eu
E-mail for contract related questions: legal-team@eurohpc-ju.europa.eu
Email for invoices: invoice@eurohpc-ju.europa.eu

With copy:
[For the National Contracting Authorities]
Adress:
E-mail]

Contractor (or leader in the case of a joint tender):
[*Full name*]
[*Function*]
[*Company name*]
[*Full official address*]
Email: [*complete*]

By derogation from this Article, different contact details for the contracting authority or the contractor may be provided in *specific contracts*.

I.8. PROCESSING OF PERSONAL DATA

I.8.1. Processing of personal data by the contracting authority

For the purpose of Article II.9.1,

(a) for personal data processed in the context of the management of the framework contract, the data controller is the e Executive Director of the EuroHPC Joint Undertaking; and can be contacted at *dpo@eurohpc-ju.europa.eu* ;
(b) for personal data processed in the context of the management of the *specific contract*, the data controller will be specified in the *specific contract*;
(c) the data protection notice is available at https://commission.europa.eu/funding-tenders/procedures-guidelines-tenders/data-protection-public-procurement-procedures_en.

I.8.2. Processing of personal data by the contractor

For the purpose of Article II.9.2,

(a) the subject matter and purpose of the processing of personal data by the contractor are *following the setting up, implementation and operation the AIGF, the provision of the AI compute capacity access time for the Union and National Contracting Authorities' users and related services to be offered to the EuroHPC JU and National Contracting Authorities and their respective users*;

(b) The localisation of and access to the personal data processed by the Contractor shall comply with the following:

i. the personal data shall only be processed within the territory of the European Union and will not leave that territory;
ii. the data shall only be held in data centres located with the territory of the European Union
iii. no access shall be given to such data outside of the European Union;
iv. the contractor may not change the location of data processing without the prior written authorisation of the contracting authority;
v. any transfer of personal data under the FWC to third countries or international organisations shall fully comply with the requirements laid down in Chapter V of Regulation (EU)2018/1725[4].

I.9. EXPLOITATION OF THE RESULTS OF THE FWC

This clause is not applicable to this FWC.

I.10. APPLICABLE LAW AND SETTLEMENT OF DISPUTES

I.10.1 The FWC is governed by Union law, complemented, where necessary, by the law of [*Member State where the Hosting Entity is established][For the case of multi- site multi country AIGF: [Member State where a Hosting Entity is established in accordance with the Consortium agreement or related Agreement][By virtue of this provision, and by application of national law, in the case where the Hosting Entity is established in Germany: Luxembourg]*.The application of the United Nations Convention on Contracts for the International Sales of Goods (CISG) is excluded.

I.10.2 The General Court or, on appeal, the Court of Justice of the European Union shall have exclusive jurisdiction over any dispute regarding the validity, interpretation, performance or termination of the FWC or a *specific contract*.

I.11. ADDITIONAL SPECIFIC OBLIGATIONS OF THE CONTRACTOR

I. 11.1 The Contractor shall be fully and exclusively responsible for the successful and timely set up, configuration, implementation and operation of the AIGF, including all required licenses and permits as well as validation, testing and acceptance procedures, and for

[4] Regulation (EU) 2018/1725 of 23 October 2018 on the protection of natural persons with regard to the processing of personal data by the Union institutions, bodies, offices and agencies and on the free movement of such data, and repealing Regulation (EC) No 45/2001 and Decision No 1247/2002/EC, OJ L 295/39, 21.11.2018, https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:32018R1725&from=EN

both phases in accordance with Annex II and shall regularly inform the Contracting Authorities in writing for the different steps of the procedure.

The AIGF will be set up in 2 phases (Phase 1 for initial deployment and Phase 2 for expansion) in accordance with Annex II.

I.11.2 The Contractor shall ensure the security of the AIGF, including its physical infrastructure, technical systems, IT environments, networks, and data of the Hosting Entity itself. This shall include, inter alia, measures relating to access control, cybersecurity, data protection, incident detection and response, and protection against unauthorised access, loss, alteration or disclosure of information.

I.11.3 The Contractor shall establish a secure environment where physical and virtual management are shielded from undue, unauthorised external interference, and no incidental data leakage or unauthorised access occurs at the infrastructure level.

I.11.4 Where the facility is utilized for sensitive workloads, the Contractor shall implement necessary enhanced security measures, including NIS2 (Directive (EU) 2022/2555) alignment and robust physical security.

I.11.5 The Contractor shall ensure that the AIGF complies with any requirements imposed under (Regulation (EU) 2016/679 (GDPR), Regulation (EU) 2024/1689 (AI Act), and applicable Union data governance frameworks, including Regulation (EU) 2023/2854 (Data Act)) and Regulation (EU) 2022/868 (Data Governance Act).

I.11.6 The Contractor shall report service, utilisation and performance information of the AIGF to the Contracting Authorities through the submission of regular reports, in compliance with Appendix 3 and related SLAs as defined in Appendix 2;

I.11.7 The Contractor shall inform the Contracting Authorities and users without delay about the incidents impacting the use of the AIGF, or the delivery of the services;

I.11.8 The Contractor shall respect its obligations under any specific agreements it has signed under InvestEU relating to the AIGF;

I.11.9 The Contractor shall provide the services in a timely manner as further specified in the Specific Contract, respecting and all its obligations under the FWC, including its Annexes and Appendixes.

I.12. PROCUREMENT MODALITIES FOR SETTING UP THE AIGF

1. The Contractor shall ensure that its suppliers of core infrastructure used or contacted for the purposes of setting up and operating the AIGF fulfil the same eligibility conditions as the ones applicable for participation in the AIGF Consortium in accordance with Article 12b of the Council Regulation (EU) 2021/1173 on Establishing the European High Performance Computing Joint Undertaking, as last amended by Council Regulation (EU) 2026/150

(hereafter the "Regulation") and further specified in the EuroHPC Work Programme and the Call for Tenders (Annex I). The AIGF core infrastructure includes the IT hardware and software/cloud infrastructure, orchestration, MLOps, data handling, infrastructure maintenance, system administration, disaster recovery, and privileged access management tools. The Contractor shall to the extent possible pursue to avoid or limit any major dependency on a single supplier; this also requires avoiding any situations of lock-in with a single supplier, including by promoting greater interoperability of equipment.

2. In any procurement/ acquisition from suppliers related to the establishment and operation of the AIGF, the Contractor shall abide by Conflicts of Interest obligations, including but not limited to those described under Article II.7and ensure the protection of the Union's strategic assets, interests, autonomy and the security of the Union and the Contacting States as well as the protection of confidentiality, data privacy and protection of classified documents and information.

3. In any procurement/ acquisition related to the establishment and operation of the AIGF, the Contractor shall endeavour to ensure the "security of the supply chain" and the "EU Added Value" of the AI Gigafactory, in the sense of its contribution to reinforcing the digital technology supply chain in the European Union and the integration of European technologies including contribution to strategic autonomy and technological sovereignty and as these elements are further defined in Annex I.

I.13. TESTING AND VALIDATION

1. Following the successful acquisition, set up, configuration and implementation of the AIGF and for each Phase of its setting up under the exclusive responsibility of the Contractor, and prior to the commencement of the provision of the access time to the AIGF under the first *specific contract* of each Phase the Contractor shall certify that the infrastructure has been deployed and configured in accordance with their tender (Annex II).

2. The Contractor shall provide the Contracting Authorities with:

   a. evidence of compliance with the requirements and specifications as included in Annex II, including a Technical Readiness Report describing:

      i. hardware configuration (including GPU/CPU types and quantities);

      ii. storage architecture and capacity;

      iii. networking architecture and bandwidth;

      iv. cluster orchestration and resource scheduling system;

      v. monitoring and performance measurement tools.

   b. evidence of successful testing of all requirements defined in Annex II;

   c. demonstration of resilience of systems and components;

d. evidence of readiness to provide the required access time and services defined in this Agreement.

3. The EuroHPC JU shall conduct Technical Validation Tests, in order to verify that the AIGF meets the agreed performance and operational requirements for each phase. This may be carried out by any outside body authorised by the EuroHPC JU to do so on its behalf.

4. The acceptance testing procedure may include verification of:
   a. compute node availability and stability at full deployment scale;
   b. system-level and advanced AI chip performance benchmarks (e.g., distributed training throughput, MLPerf, and large-scale model synchronization);
   c. network throughput and latency, and non-blocking interconnect performance across the entire cluster;
   d. storage input/output performance under high-concurrency AI workloads;
   e. job scheduling and workload execution capability, and seamless provisioning across all offered service layers (Layer 1, Layer 2, and Layer 3);
   f. system monitoring, metring, and reporting functions for accurate tenant billing and SLA tracking;
   g. sustained facility stress testing, validating power delivery stability, cooling capacity, and energy efficiency metrics under continuous maximum operational load;
   h. security, cybersecurity, and sovereign compliance, including the verification of strict tenant isolation (logical and physical), data residency controls, and secure access management mechanisms;
   i. system resilience, disaster recovery, and automated failover capabilities to ensure uninterrupted operation during partial hardware or network degradation.

5. The AI compute capacity of the AIGF shall be deemed validated when the results of the Technical Validation Tests demonstrate that the infrastructure complies in all material respects of the setting up and operation of the AIGF (in line Annex II) and meets the required performance thresholds.

6. Upon successful completion of the tests, the EuroHPC JU shall sign a Technical Validation Certificate confirming that the infrastructure is ready to provide access to the contracted AI compute capacity.

7. If the validation tests reveal minor deviations that do not materially affect the Contracting Authorities' ability to access and use the AI Compute Capacity, the Parties may agree to Conditional validation, provided that the Contractor undertakes to remedy such deviations within an agreed remediation period.

8. If the AI compute capacity of the AIGF fails to meet the agreed validation criteria, the Contractor shall:

   a. identify the causes of the failure;

   b. implement corrective measures;

   c. repeat the relevant acceptance tests within a reasonable timeframe.

The acceptance process may be repeated until the infrastructure meets the agreed specifications.

9. If the infrastructure fails repeatedly to meet the acceptance criteria, without prejudice to any remedial measures in accordance with this Agreement, the Parties shall discuss appropriate remedies, which may include:
   a. provision of alternative infrastructure resources;
   b. postponement of the service commencement date.

10. The Contractor shall not commence to provide access time services under a *specific contract* before the signature of the Technical Validation Certificate by the parties in accordance with this Article.

I.14. SECURITY CONDITIONS AND SAFEGUARDS

1. The Contractor shall ensure the availability of the AI compute infrastructure and its associated software stack (including AI frameworks, libraries, and development tools), enabling the efficient and secure operation of the AIGFs, and provide access to the AIGF while ensuring its security, integrity and confidentiality of personal and business data, preventing and appropriately managing cyber-attacks and unauthorised access and use, and misuse of the technology by all means. These should include but are not limited to the minimum physical and IT security requirements as defined in Annex III. These should also include but not be limited to appropriate security measures to manage risks to their network and information systems and reporting of significant incidents to the relevant authorities without undue delay.
2. The Contractor must adopt appropriate technical and organisational security measures in that regard having regard to the risks inherent to the hosting and operations of the AIGF. These shall include (but not limited to) the functional separation, and to the extent possible, the physical separation of the AIGF and any other computing systems the Contractor operates.
3. All processing units and associated advanced hardware shall be acquired and used exclusively to build the specific AIGF, excluding any possibility of transferring them without the explicit agreement of the Contracting Authorities. In case where processing units are acquired from the United States of America (US), the Contractor shall implement all measures deemed appropriate to guarantee compliance with any restrictions imposed by the US on the use of advanced US AI processing unit technology by the AIGF in line with the EU-US Joint Statement[5] as well as with the requirements set out in the Regulation and any other relevant EU law. In particular, the following safeguards shall be put in place:
   a) All GPUs shall be used exclusively to build such AIGFs, excluding any possibility to transfer them to entities established by not eligible countries.

[5] On 21 August 2025, the European Commission and the United States issued a joint statement on a United States-European Union Framework on an agreement on reciprocal, fair and balanced trade ("The EU-US Joint Statement"). Among others, it refers to the EU's intention to purchase at least $40 billion worth of US AI chips for its computing centres: "*The European Union intends to purchase at least $40 billion worth of US AI chips for its computing centres. The European Union further plans to work with the United States to adopt and maintain technology security requirements in line with those of the United States in a concerted effort to avoid technology leakage to destinations of concern. The United States will endeavour to facilitate such exports once such requirements are in place.*"

b) Access to the AIGFs' AI compute infrastructure shall be restricted to authorized users, excluding the participation of non -eligible entities as defined in Article I.18, in line with the requirements and procedure set out in the Regulation, as amended.
c) The Contractor shall ensure the screening and supervision of all end users to ensure compliance in accordance with Article I.18. These obligations relating to the supervision and screening of final end-users shall apply in full to the AIGF facility in its entirety, without exception. This explicitly includes any compute capacity managed, partitioned, or commercialised by potential anchor customers (e.g., hyperscalers, neoclouds, and other global service providers), irrespective of the commercial arrangements governing such capacity. For that purpose, the Contractor shall pass on these obligations in writing to any third party that purchases or otherwise acquires access time from the AIGF, in particular with the purpose of make it available to other users.
d) All the necessary security measures shall be put in place to fully control access to sensitive technology (including hardware and software) in AIGFs to prevent any unauthorized use.
e) Appropriate safeguards to be implemented to guarantee compliance with any restrictions imposed by the US on the use of advanced US AI GPUs by the AIGFs.

4. Additional safeguards shall be applied at the end of the lifecycle of the acquired US processing units, in case these are transferred or resold to third countries, including but not limited to export control limitations on and/or prohibitions of such secondary sales, transfers, or exports as appropriate in line with the EU-US Joint Statement.

5. The Contractor shall ensure that all data is held, accessed and processed within the territory of the European Union.

6. Any security breach, including cyberattacks, or any other physical or digital breach related e.g. to the premises, systems, data or personnel used by any involved entity, even if not directly related to the Union/ Participating States-supported activities, shall be notified to the Contracting Authorities without delay and any information on the breach and subsequent investigations shall be shared on an ongoing basis. In case of any such security breach, a plan for corresponding mitigation and resilience measures must be notified to the Contracting Authorities and implemented.

7. The Contracting Authorities may, at any time, request the Contractor to take additional appropriate measures to ensure that the Union's and National Contracting Authorities interest on grounds of security or public order are safeguarded. These measures could include, but are not limited to, the appropriate handling of confidential information or limitation of certain entities in specific operational activities of the AIGF.

I.15. ALLOCATION AND USE OF UNION AND NATIONAL CONTRACTING AUTHORITIES ' ACCESS TIME TO THE AI GIGAFACTORIES – RIGHT TO ALLOCATE TO END -USERS

1. The Contractor grants the Contracting Authorities the right to allocate, resell, sublicence or commercially redistribute the purchased compute access time to end users for the purpose of accessing and utilizing the compute capacity made available under this Contract.

2. In such cases, each end user shall sign terms of use agreements with the Contractor in order to commit that such end users shall comply with obligations relating to acceptable use, data protection, confidentiality, and security of the AIGF before being granted access. However, unless otherwise expressly agreed in writing, the Contractor shall not be contractually be liable to any end users for the availability, performance, or use of the Infrastructure.

3. The Contractor shall have the right to monitor usage of the Infrastructure to ensure compliance with this Contract. In the event that any End User's activity poses a risk to the AIGF and its infrastructure, security, or compliance obligations, the Contractor may suspend or restrict such end user's access. The Contractor shall notify the Contracting Authorities without undue delay of such action.

4. The Contracting Authorities shall be solely responsible for the internal allocation, distribution, and management of the purchased compute access time among their end users. The Contractor shall not be responsible for verifying how the Contracting Authorities distribute such access time.

5. All compute capacity consumed by their end users shall be counted against each Contracting Authority's purchased compute access capacity. The Contracting Authorities shall remain responsible for payment of all related usage regardless of the identity of the end user.

I.16. GOVERNANCE STRUCTURE- PUBLIC GOVERNANCE BODY

1. Without prejudice to the Contractor's management and operational autonomy as defined in Annex II, and to ensure alignment with the public interest objectives underpinning the signature of this FWC, the AIGF shall be overseen by a Public Governance Body.

2. The Public Governance Body shall be composed of one representative from the Commission and one representative from each National Contracting Authority (-ies) . A representative from the Contractor shall be invited to attend meetings as an observer. The representative from the Contractor shall have no voting rights. The Union, represented by the Commission, shall hold 50% of the voting rights, which shall be indivisible. The remaining 50% of the voting rights shall be held by the National Contracting Authority (-ies). The voting rights of the National Contracting Authorities shall be distributed among the National Contracting Authorities in proportion to the total financial contributions committed in Specific Contract(s) at the time of the vote.
    a. The representatives of the Public Governance Body shall make every effort to achieve consensus.

b. Failing consensus, a vote shall be held. Decisions shall be deemed adopted only if they receive a majority of at least 75% of all voting rights, including the votes of members who are absent.

3. The Contractor shall provide to the Public Governance Body at least on a quarterly basis information about the progress of the AIGF, including but not limited to the evolution of the project's financing and bankability of the operations and an inventory (or an update thereof) of the assets and systems of the AIGF. It shall also provide information on any planned or envisaged change to the Contractor's legal, financial, technical, organisational or ownership situation, without any undue delay.

4. The Contractor shall provide to the Public Governance Body at least on a quarterly basis information about the users accessing the infrastructure, as well as the scrutiny mechanisms applied by an AIGF facility to ensure compliance with user access eligibility conditions. In this respect, the Public Governance Body may suggest additional measures or mechanisms to ensure that compliance

5. The following elements shall require explicit prior approval from the Public Governance Body:

a. any proposed access agreements with entities from third countries that may raise concerns regarding the Union's strategic assets, interests, autonomy or security and proposed access to non-union users as per ArticleI.18;

b. substantial changes to the legal and financial structure or changes of control of the AIGF, such as a change in the ultimate ownership or control of the AIGF, any relocation of critical assets outside the Union or major financial restructuring decisions;

c. significant change in the strategic purpose of the AIGF.

In case any of the above occur without the consent of the public governance body, the Contracting Authorities reserve the right to terminate the FWC and/or a *specific contract* in accordance with Article II.18.

I.17. ALLOCATION OF ACCESS TIME TO THE AIGF AND SCHEDULING

1. Subject to the terms of this FWC and any specific contract, the Contractor shall make available to the Contracting Authorities a minimum level of Compute Capacity as specified in each specific contract (the "Committed Capacity"). The Contractor shall use commercially reasonable efforts to ensure that such Committed Capacity remains available to the Contracting Authorities throughout the applicable service period.

2. The details regarding the scheduling of services shall be defined at the level of the specific contract, based on the needs of Contracting Authorities as specified in a *request for services*. In particular, in their *request for a specific contract*, the Contracting Authorities will indicate to the Contractor their intended allocation of the Committed Capacity over the

course of the Specific Contract. The Contractor shall retain reasonable operational discretion to propose changes to the scheduling mechanisms applicable to the Committed Capacity from time to time, provided that the Contracting Authorities continue to receive equivalent access to the Committed Capacity. The Parties shall cooperate in good faith regarding forecasted workloads, anticipated capacity requirements, operational priorities, and scheduling coordination. The detailed operational scheduling procedures may be defined, updated, and refined through operational notices, service procedures, or written coordination by mutual agreement between the Parties.

3. The Contractor may reasonably propose to allocating and optimize infrastructure resources across workloads, provided that Contracting Authority retains the practical benefit of the Committed Capacity.

4. Unless expressly agreed otherwise in writing, notably for training workloads, the Committed Capacity shall not constitute dedicated, isolated, uninterrupted, or exclusive infrastructure access at all times. While the procured compute access time for the Contracting Authorities will inherently be scheduled alongside the workloads of the other commercial customers, the Contractor shall, on a best-efforts basis and to the extent possible, provide concentrated computing resources as priority for exceptionally heavy computational workloads (such as the training of large-scale foundational models), when so required by the Contracting Authorities. In such cases, the Contractor shall work in mutual agreement with the Contracting Authorities to accommodate these strategic requests efficiently, seamlessly integrating them into the facility's overall operational planning.

5. The Contractor shall not implement scheduling changes or allocation measures without the prior agreement of the Contracting Authorities.

I.18. ELIGIBILITY CONDITIONS FOR THE NON-UNION USERS OF THE AIGF

1. Without prejudice to Articles 16(4) (a), 12b(3) and 12b(17) (e) of the Regulation, access to the AIGF shall be allowed to users residing and/or established in *eligible countries*.

2. Other users not mentioned in paragraph 1 may be granted access to an AIGF in accordance with Article I.16 (5) (a) prior to an approval of the Public Governance Body. In such cases a written request shall be submitted for the consideration of the Public Governance Body, including reasonable information for the latter to assess the request for such access. The Public Governance Body shall use its best efforts to respond in writing, within 20 working days. If the Public Governance Body requires additional information to assess the request, the above-mentioned period shall be suspended until the requested information is received.

I.19. ACCOUNTING MODALITIES, MONITORING AND REPORTING OBLIGATIONS REGARDING ACCESS TIME TO THE AI GIGAFACTORY

1. The Contractor must ensure that the access time and resource usage is registered in a traceable and fully auditable way and provides an appropriate overview of the system utilisation and the use of the Union's access time and National Contracting Authority (ies)s' access time.
2. The Contractor shall provide, on a quarterly basis, regular information on the allocation and actual usage of access time and resources of the AIGF to the Contracting Authorities as part of the reports indicated in Appendix III. Such information shall include, at minimum: (i) the breakdown of access time allocated and used by the Union and by National Contracting Authority (-ies); (ii) categories of users and their country of establishment; (iii) the level of utilisation of the AI gigafactory resources during the reporting period.

3. Each Contractor shall submit by 31 January of each year to the Contracting Authorities at the latest an audit report and data on the use of the Union and Participating State's access time in the previous financial year.

4. The EuroHPC JU has the right to audit the allocation and usage of the AI compute access time, including in accordance with Article II.24.

I.20. INTELLECTUAL PROPERTY

1. All intellectual property created by the users using the AI compute capacity of the AIGF shall remain property of each user.

2. The Contractor retains all rights in its infrastructure, software and underlying technology.

I.21. ANNUAL SERVICE REVIEW

1. The Parties shall conduct a comprehensive review of the Services provided under a specific contract (the "annual review") and hold annual service review meetings at least once every twelve (12) months from the date the services commence in accordance with Article I.13.10. The purpose of the Annual Review is to evaluate the performance, adequacy, and continued relevance of the AI Compute Capacity and associated services provided by the Contractor.

2. The Annual Review shall include, at least an assessment of the following elements:

    a. Service Performance Monitoring – review of system availability, uptime, latency, processing performance, and compliance with the agreed Service Levels;

    b. Capacity Utilization – analysis of compute resource usage, including GPU/CPU utilization rates, storage consumption, networking bandwidth, and forecasted demand;

c. Operational Incidents – review of any service interruptions, incidents, or outages occurring during the preceding quarter and the corrective actions implemented;

d. Maintenance and Upgrades – discussion of scheduled maintenance, infrastructure upgrades, or configuration changes that may affect service availability or performance;

e. Security and Compliance Updates – review of cybersecurity incidents, security patches, vulnerability mitigation measures, and regulatory compliance updates;

f. Operational Improvements – identification of operational enhancements or optimizations to improve the efficiency or reliability of the Services.

3. Prior to each Annual Review Meeting, the Contractor shall provide to the Contracting Authorities with a summary operational report including service performance indicators, incident reports, and resource utilization statistics covering the previous quarter.

4. Where operational issues or optimization opportunities are identified, the Parties may agree upon a written action plan including responsibilities, timelines, and follow-up mechanisms.

I.22. HARDSHIP

I.22.1. Definition of Hardship

This clause shall apply exclusively to the limited circumstances expressly listed in Article I.22.2. and it shall by no means constitute a general right to renegotiate service levels, pricing or contractual obligations. A hardship event occurs when unforeseen circumstances arising after the conclusion of the FWC fundamentally alter its equilibrium, imposing an excessive burden on one party (*the Affected Party*), provided that *all* the following conditions are met:

(a) the events could not reasonably have been taken into account by the Affected Party at the time of conclusion of the FWC; and

(b) the events are beyond the reasonable control of the Affected Party and the reasonably assumed risk for such contract;

I.22.2 Exhaustive List of Hardship Events

A hardship event shall exist only if one or more of the following events occur after the signature of the FWC, the following shall be considered potential hardship events in the context of AIGF operations:

- **Governmental export bans, export control restrictions, sanctions, or embargoes** affecting critical technologies for which no functionally equivalent alternatives are commercially available.

- A **sustained, extraordinary and significant change in compute capacity costs** directly necessary for the provision of the services (energy, cloud infrastructure, semiconductor supply, advanced chips or other necessary hardware for AI compute

infrastructure) resulting in a severe and disproportionate increase or decrease compared to the baseline costs as documented at the tender submission (Annex II), where such a change was not reasonably foreseeable and where such a change persists continuously for, at least, one hundred eighty (180) calendar days and is reasonably expected to continue;

- **A material change in applicable law or regulation or regulatory restrictions** that renders in part or in full the contracted services unlawful or technically impracticable;

- A **fundamental shift in the technical landscape** (e.g., a widely adopted industry standard or hardware architecture disruption) that renders the originally agreed technical specifications obsolete or disproportionately costly to maintain, particularly during Phase 2 of AIGF deployment. This includes the commercial release and broad market adoption of a successor compute architecture that delivers a generational leap in the cost-performance ratio or a disruptive reduction in inference and training costs, to such an extent that maintaining the originally contracted infrastructure would render the AIGF commercially uncompetitive.

I.22.3. Obligation to Notify

The Affected Party shall notify the other party in writing as soon as reasonably practicable, and no later than thirty (**30 days)** after becoming aware of the hardship event. The notice shall include:

(i) a description of the hardship event and its anticipated impact;

(ii) supporting evidence (cost reports, regulatory notices, technical assessments etc.); and

(iii) a preliminary proposal for renegotiation.

I.22.4 Duty to Renegotiate

Upon receipt of a valid hardship notice, the parties shall enter into good-faith renegotiations within fifteen (**15 business days)** with a view to adapting the FWC and/or *Specific Contract* to restore its original equilibrium. Neither party shall unreasonably withhold cooperation during this process.

At any time during the negotiations, the parties may refer to an expert designated by common accord to provide an expert opinion on the matters referred to him/her. The parties should agree in advance if such opinion is to be binding or not.

I.22.5 Failure to Agree

If the parties fail to reach an agreement within sixty **(60 days)** of the hardship notice (or such extended period as mutually agreed), either party may refer the matter to the *competent court*

as defined in Article I.10.2, which shall have the power to adapt the FWC and/or *Specific Contract*.

I.22.6 Relationship to Force Majeure

This hardship clause is distinct from and complementary to any force majeure clause in this FWC. Hardship applies where performance remains *possible but excessively burdensome*, whereas force majeure applies where performance is *impossible*.

I.23. OTHER SPECIFIC CONDITIONS- SPECIFIC DEROGATIONS FROM THE GENERAL CONDITIONS

I.23.1 Article II.10.1 is replaced as follows:

"The Contractor must not subcontract and have the FWC implemented by third parties beyond the third parties already mentioned in its tender without prior written authorisation from the Contracting Authorities, always respecting the conditions of subcontracting as indicated in the tender documents."

I.23.2. Article II.20 is replaced as follows:

"If a price revision index is provided in Article I.5.2, this Article applies to it.

In that case, prices are fixed and not subject to revision during the first year of the FWC. At the beginning of the second and every following year of the FWC, the prices (baseline normalised prices for Layer 2 and Layer 3 services (which are established by applying the performance benchmarks referenced in Figure 2 of the Tender Specifications (Annex II) may be revised upwards or downwards at the request of one of the parties. The price revision formula outlined below will be applied directly to these normalised Layer 2 and Layer 3 prices.

A party may request a price revision in writing no later than three months before the anniversary date of entry into force of the FWC. The other party must acknowledge the request within 14 days of receipt.

At the anniversary date, the contracting authority must communicate the final composite index for the month in which the request was received, or failing that, the last provisional composite index available for that month. The contractor establishes the new normalised price on this basis and communicates it as soon as possible to the contracting authority for verification.

The contracting authority orders services on the basis of the prices in force at the date on which the *specific contract* enters into force. Price revisions shall exclusively apply to the signature of new, future *specific contracts*. Under no circumstances shall a price revision apply retroactively to, or affect the prices of, *specific contracts* that have already been signed.

Without prejudice to the previous paragraph, for specific contracts in phases or subject to renewal, the contracting authority orders services on the basis of the prices in force on the date indicated as start date of the next phase, or on the date of renewal.

The price revision is calculated using the following formula:

$$P_{updated} = 0.8 \times P_{baseline} \times \left(\frac{I_{inf,1}}{I_{inf,0}}\right) \times \left(\frac{I_{compute,1}}{I_{compute,0}}\right) + 0.2 \times P_{baseline}$$

Where:

$P_{updated}$ is the newly indexed price for the contract.

$P_{baseline}$ is the original normalised price established at the proposal stage.

$I_{inf,1}$ / $I_{inf,0}$ is the ratio of the current Inflation Index to the baseline Inflation Index.

Icompute,1 / *Icompute,0* is the ratio of the current Advanced AI Compute Price Index to the baseline Advanced AI Compute Price Index."

I.23.3. Article II.15. is replaced as follows:

"II.15. SERVICE CREDITS AND LIQUIDATED DAMAGES:

II.15.1 Delay in delivery
Without prior notice of default to the Contractor or prior judicial intervention being required, if the Contractor fails to perform its contractual obligations within the applicable time limits set out in this FWC or a *specific contract*, the Contracting Authority (-ies) may claim liquidated damages in accordance with the below provisions:

- If the Contractor fails to complete Milestone T0 (operational readiness for Phase 1) or Milestone T1 (operational readiness for Phase 2) within the applicable time limits set out in this FWC or a *specific contract* the contracting authorities may claim liquidated damages for each week of delay using the following formula:
    - 0.001 x V, where V is the value of the relevant specific contract capped at 5% of the value of the *specific contract*.

- If the Contractor fails to submit required reporting deliverables, including those specified in Appendix II and III, the Contracting Authority (-ies) may claim EUR hundred (100) for each day of delay per report capped at EUR twenty-five thousand (25.000).

II. 15.2. Scheduled access delays
Where the Contractor has confirmed a specific access period pursuant to the agreed scheduling procedure under a specific contract and fails to provide the agreed AI Compute Capacity within seventy-two (72) hours of the confirmed commencement date, the Contracting Authorities may claim service credits equal to one percent (1%) of the affected scheduled capacity for each completed day of delay, up to a maximum of twenty percent (20%) of the affected scheduled capacity.

Such service credits shall be provided in the form of additional AI Compute Capacity unless the Parties agree otherwise.

II.15.3. Capacity Shortfall

If the Contractor fails to deliver the minimum annual capacity levels of annual committed capacity as specified under a *specific contract* set out below, the Contracting Authorities may claim liquidated damages as follows:

Annual Capacity Delivered	Liquidated Damages
95% or more of Committed Capacity	None
Less than 95% but at least 90%	2% of the Annual specific contract Price
Less than 90% but at least 85%	5% of the Annual specific contract Price
Less than 85%	10% of the Annual specific contract Price

The extent of any Capacity Shortfall shall be determined by comparing the Committed Capacity with the AI Compute Capacity actually delivered and made available for use by the contractor during the service provision year.

In the event of a Capacity Shortfall, the Contractor shall, as its first remedy obligation, make available to the Contracting Authorities additional AI Compute Capacity equivalent to one hundred percent (100%) of the undelivered capacity.

Such make-up capacity shall be provided as soon as reasonably practicable and, unless otherwise agreed by the Parties, within ninety (90) calendar days following identification of the Capacity Shortfall.

In addition to the make-up capacity referred to above, the Contractor shall grant the following additional AI Compute Capacity credits:

(a) where the Capacity Shortfall is remedied within thirty (30) calendar days, an additional five percent (5%) of the undelivered capacity;

(b) where the Capacity Shortfall is remedied after thirty (30) days but within ninety (90) calendar days, an additional ten percent (10%) of the undelivered capacity.

Such additional capacity shall be made available under the same technical and operational conditions as the original entitlement.

II.15.4. Any other delays

For any other case, not covered above, if the contractor fails to perform its contractual obligations within the applicable time limits set out in this FWC or a specific contract, including non- compliance with SLAs, the contracting authority may claim liquidated damages for each minute, hour or day of delay using the following formula:

0.3 x (V/d)

where:
V is the price of the relevant order of services or deliverable or result affected by the delay;
d is the duration specified in the relevant specific contract for delivery of the relevant services or deliverable or result or, failing that, the period between the date specified in Article I.4.1 and the date of delivery or performance specified in the relevant specific contract, expressed in minutes, hours or days depending on the time measurement metric applicable for the specific delay.

II.15.5. Liquidated damages may be provided in the form of additional AI Compute Capacity if so agreed by the parties.

The maximum amount of liquidated damages payable per each contract year will be limited to 10% of the yearly value of the *specific contract*.

Liquidated damages/service credits for delay in delivery may be imposed together with a reduction in price under the conditions laid down in Article II.16 or a substitution of the contractor under the conditions laid down in Article II.4.12.

Any claim for liquidated damages does not affect (a) the contractor's liability for damages that liquidated damages would not cover, (b) the contracting authority's rights under Article II.18, nor (c) the contracting authority's rights under Article II.4.12 or (d) any other right or remedy that the contracting authority may have under the FWC or a *specific contract*.

II.15.6. Procedure

The contracting authority must *formally notify* the contractor of its intention to apply liquidated damages for delay in delivery and the corresponding calculated amount.

The contracting authority shall notify the contractor of:

(a) the delay and /or shortfall identified;

(b) the corrective measures required, if any;

(c) any service credits proposed; and

(d) where applicable, its intention to apply liquidated damages.

The contractor has 30 days following the date of receipt to submit observations. After having received any observations submitted or, failing that, following the expiry of the time limit for submitting observations, the contracting authority must *notify* the contractor:

(a) of the withdrawal of its intention to apply liquidated damages; or

(b) of its final decision to apply liquidated damages and the corresponding amount.

II.15.7. Nature of liquidated damages

The parties expressly acknowledge and agree that any amount payable under this Article is not a penalty and, in view of all the circumstances including the legitimate interest of the contracting authority for a timely delivery to fulfil its mission of public services, represents a reasonable estimate of fair compensation for the damage that may be incurred by the contracting authority due to failure to provide the services within the applicable time limits set out in this FWC or in a *specific contract*."

I.24. ADDITIONAL DEFINITIONS

1. In addition to the definitions of Article II.1, for the purpose of the present contract, the following terms shall have the following meaning:

a. "Acceptance Test" means an in-depth technical test conducted to determine if the requirements of the system specification of the AIGF are formally met before Contractor provides its AI compute and data services.

b. "Access Time" means the duration of time during which the Contracting Authorities may assess and use AI compute capacity of the AIGF in accordance with this Agreement;

c. "Artificial Intelligence Giga Factory", or "AIGF" means the AIGF that is the subject matter of this FWC.

d. "AI compute capacity": means the computing resources made available to the Contracting Authorities including GPUs, CPUs, RAM, storage, networking, and associated software required to run AI workloads.

e. "AI Chips-hours": means the use of one (1) Artificial Intelligence processing chips/accelerator for a period of one (1) hour.

f. "Artificial Intelligence Gigafactory Cooperation Agreement" is an agreement between the EuroHPC JU and a third country that is not Participating State to the EuroHPC JU specifying conditions for access time to AIGF for users established in that third country.

g. "Capacity Shortfall" shall occur where the aggregate AI Compute Capacity made available by the Contractor during a *service provision year* is less than the Committed Capacity for that *service provision year*.

h. "Compute Unit": a measurable unit of computing capacity defined as GPU- hour.

i. "Eligible countries": eligible countries are Member States, Participating States to the EuroHPC JU, associated countries of Horizon Europe and of the Digital Europe Programme and of any subsequent relevant Union funding programmes, OECD

countries, or that have signed an AIGF Cooperation Agreement, i.e. Trade and Technology Council(s), Digital Partnerships, Digital Dialogues, or the Pax Silica initiative.

j. "Hosting site" or "constituent site" means the physical facilities at which a Hosting Entity will host and operate the AIGF and which is located in one or more Participating States that are a Member State.

k. "IT infrastructure" means the set of IT equipment needed for hosting and operating the AI Gigafactory. It includes storage for home directories, long term storage, back-up and various servers as required for the purposes of hosting the AIGF.

l. 'Phase' means a specific Phase of the setting up of the AIGF as defined in Annex II and in particular in terms of time schedule and related AI compute capacity.

m. "Regulation" refers to Council Regulation (EU) 2026/150 of 16 January 2026 amending Regulation (EU) 2021/1173 on establishing the European High Performance Computing Joint Undertaking6 (hereinafter referred to as the 'Regulation').

n. "Service provision year": means each consecutive period of 12 months commencing on the effective date.

o. "Technical infrastructure" means the set of infrastructure equipment needed for hosting and operating the AIGF and the relevant IT infrastructure. It includes equipment related to cooling, power supply and distribution, fire security and physical security.

p. "End User" or "end users" means any third party (natural or legal person, entity or international organisation) that has been granted access time purchased under this Contract to an AIGF via the EuroHPC JU and/or National Contracting Authority (-ies).

q. "Unused Access Time" means GPU- hours / AI compute capacity that:

i. was made available by the Contractor in accordance with this FWC/ *specific contract*;
ii. complied with the applicable Service Levels;
iii. was capable of being used by the Contracting Authority(-ies); and
iv. was not utilised before expiry of the applicable service provision period.

2. Terms not defined herein will have the same meaning as in the Regulation.

[6] *OJ L, 2026/150, 19.1.2026, ELI: http://data.europa.eu/eli/reg/2026/150/oj*

II. GENERAL CONDITIONS FOR THE FRAMEWORK CONTRACT FOR SERVICES

II.1. DEFINITIONS

For the purpose of this FWC and the *specific contracts* signed to implement it, the following definitions (indicated in *italics* in the text) apply:

'Back office': the internal system(s) used by the parties to process electronic invoices;

'Breach of obligations': failure by a party to fulfil one or more of its contractual obligations;

'Confidential information or document': any information or document received by either party from the other or accessed by either party in the context of the *implementation of the FWC*. It may not include information that is publicly available;

'Conflict of interest': a situation where the impartial and objective *implementation of the FWC* by the contractor is compromised or negatively affected for reasons involving family, emotional life, political or national affinity, economic interest, any other direct or indirect personal interest of the contractor, its *related persons* or *personnel* or any third party related to the subject matter of the FWC;

'Creator': means any natural person who contributes to the production of the *result*;

'EDI message' (electronic data interchange): a message created and exchanged through the electronic transfer, from computer to computer, of commercial and administrative data using an agreed standard;

'Electronic exchange system': is an electronic exchange system meeting the requirements of Article 151 of the *Financial Regulation*;[7]

'EUI': European Union institution;

'Force majeure': any unforeseeable and unavoidable situation or event beyond the control of the parties that prevents either of them from fulfilling any of their obligations under the FWC. The situation or event must not be attributable to the negligence of the debtor. Breaches or negligence of subcontractors, defaults of service, defects in equipment or material or delays in making them available, labour disputes, strikes and financial difficulties may not be invoked as *force majeure*, unless they stem directly from a relevant case of *force majeure*;

'Formal notification' (or 'formally notify'): form of communication between the parties made in writing by mail or email, which provides the sender with compelling evidence that the message was delivered to the specified recipient;

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[7] Regulation (EU, Euratom) 2024/2509 of the European Parliament and of the Council of 23 September 2024 on the financial rules applicable to the general budget of the Union (recast) (OJ L, 2024/2509, 26.09.2024, ELI: http://data.europa.eu/eli/reg/2024/2509/oj)

'Fraud': an act or omission committed in order to make an unlawful gain for the perpetrator or another by causing a loss to the Union's financial interests, and relating to: i) the use or presentation of false, incorrect or incomplete statements or documents, which has as its effect the misappropriation or wrongful retention of funds or assets from the Union budget, ii) the non-disclosure of information in violation of a specific obligation, with the same effect or iii) the misapplication of such funds or assets for purposes other than those for which they were originally granted, which damages the Union's financial interests;

'Grave professional misconduct': a violation of applicable laws or regulations or ethical standards of the profession to which a contractor or a *related person* belongs, including any conduct leading to sexual or other exploitation or abuse, or any wrongful conduct of the contractor or a *related person* which has an impact on its professional credibility where such conduct denotes wrongful intent or gross negligence;

'Implementation of the FWC': the provision of services envisaged in the FWC through the signature and *performance of specific contracts*;

'**Interoperability network'**: independent third party platforms enforcing the European standards and Directives on cross-border interoperability in a certain domain;

'Irregularity': any infringement of a provision of Union law resulting from an act or omission by an economic operator, which has, or would have, the effect of prejudicing the Union's budget or a budget managed by the Union;

'Notification' (or 'notify'): form of communication between the parties made in writing including by electronic means;

'Order form': a simplified form of *specific contract* by which the contracting authority orders services under this FWC;

'Performance of a *specific contract*': the execution of tasks and provision of the ordered services by the contractor to the contracting authority;

'Personnel': persons employed directly or indirectly or contracted by the contractor or its subcontractors to implement the FWC;

'Portal': EU Funding & Tenders Portal; electronic exchange system managed by the European Commission and used by itself and other EU institutions, bodies, offices or agencies for the management of their funding, prizes and procurement;

'Pre-existing material': any material, document, technology or know-how which exists prior to the contractor using it for the production of a *result* in the *implementation of the FWC*;

'Pre-existing right': any industrial and intellectual property right on *pre-existing material*; it may consist in a right of ownership, a licence right and/or a right of use belonging to the contractor, the *creator*, the contracting authority as well as to any other third parties;

'Professional conflicting interest': a situation in which the contractor's previous or ongoing professional activities affect or risk affecting its capacity to implement the FWC or to perform a *specific contract* in an independent, impartial and objective manner;

'Purchases': the services ordered under this FWC;

'Related person': any natural or legal person who is a member of the administrative, management or supervisory body of the contractor, or who has powers of representation, decision or control with regard to the contractor;

'Reply to a *request for specific contract*': written commitment, submitted by the contractor in response to a received request for *specific contract* under a single FWC or a multiple FWC in cascade, on the basis of which the contracting authority may award a *specific contract*;

'Request for *specific contract*': document(s) from the contracting authority requesting that the contractors in a multiple FWC with re-opening of competition provide specific tenders. In a single FWC, it means document(s) from the contracting authority ordering services from the contractor. In a FWC in cascade, it means document(s) from the contracting authority ordering services from the contractor to which the request is sent.

'Result': any intended outcome of the *implementation of the FWC*, whatever its form or nature. A *result* may be further defined in this FWC as a deliverable. A *result* may, in addition to newly created materials produced specifically for the contracting authority by the contractor or at its request, also include *pre-existing materials*;

'Specific contract': a contract implementing the FWC and specifying details of a service to be provided.

II.2. ROLES AND RESPONSIBILITIES IN THE EVENT OF A JOINT TENDER

In the event of a joint tender submitted by a group of economic operators and where the group does not have legal personality or legal capacity, one member of the group is appointed as leader of the group.

II.3. SEVERABILITY

Each provision of this FWC is severable and distinct from the others, unless it is essential to the agreement of the parties. If a provision is or becomes illegal, invalid or unenforceable to any extent, it must be severed from the remainder of the FWC. This does not affect the legality, validity or enforceability of any other provisions of the FWC, which continue in full force and effect. The illegal, invalid or unenforceable provision must be replaced by a legal, valid and enforceable substitute provision which corresponds as closely as possible with the actual intent of the parties under the illegal, invalid or unenforceable provision. The replacement of such a provision must be made in accordance with Article II.11. The FWC must be interpreted as if it had contained the substitute provision as from its entry into force.

II.4. PROVISION OF SERVICES

II.4.1 Signature of the FWC does not oblige the contracting authority to enter into a *specific contract*.

II.4.2 The contractor must provide services of high quality standards, in accordance with the state of the art in the industry and the provisions of this FWC, in particular the tender specifications and the terms of its tender. Timely delivery of the services is essential for

the contracting authority. Where the Union has the right to make modifications to the *results*, they must be delivered in a format and with the necessary information which effectively allow such modifications to be made in a convenient manner.

II.4.3 The contractor must comply with the minimum requirements provided for in the tender specifications. This includes compliance with applicable obligations under environmental, social and labour law established by Union law, national law and collective agreements or by the international environmental, social and labour law provisions listed in Annex X to Directive 2014/24/EU[8], compliance with data protection obligations resulting from Regulation (EU) 2016/679[9] and Regulation (EU) 2018/1725[10].

II.4.4 The contractor must obtain any permit or licence required in the State where the services are to be provided.

II.4.5 All periods specified in the FWC are calculated in calendar days, unless otherwise specified.

II.4.6 The contractor must not present itself as a representative of the contracting authority and must inform third parties that it is not part of the European public service.

II.4.7 The contractor is responsible for the *personnel* who carry out the services and exercises its authority over its *personnel* without interference by the contracting authority. The contractor must inform its *personnel* that:

(a) they may not accept any direct instructions from the contracting authority; and
(b) their participation in providing the services does not result in any employment or contractual relationship with the contracting authority.

II.4.8 The contractor must ensure that the *personnel* implementing the FWC and any future replacement *personnel* possess the professional qualifications and experience required to provide the services, as the case may be on the basis of the selection criteria set out in the tender specifications.

II.4.9 At the contracting authority's reasoned request, the contractor must replace any member of *personnel* who:

(a) does not have the expertise required to provide the services; or

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8 OJ L 94 of 28.03.2014, p. 65

9 Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC, OJ L 119, 4.5.2016, p. 1, https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=uriserv:OJ.L_.2016.119.01.0001.01.ENG

10 Regulation (EU) 2018/1725 of 23 October 2018 on the protection of natural persons with regard to the processing of personal data by the Union institutions, bodies, offices and agencies and on the free movement of such data, and repealing Regulation (EC) No 45/2001 and Decision No 1247/2002/EC, OJ L 295/39, 21.11.2018, https://eur-lex.europa.eu/legal-content/EN/TXT/PDF/?uri=CELEX:32018R1725&from=EN

(b) has caused disruption at the premises of the contracting authority.

The contractor bears the cost of replacing its *personnel* and is responsible for any delay in providing the services resulting from the replacement of *personnel*. Before deciding to replace a member of *personnel*, the contractor should first give him the opportunity to present observations.

II.4.10 The contractor must record and report to the contracting authority any problem that affects its ability to provide the services. The report must describe the problem, state when it started and what action the contractor is taking to resolve it.

II.4.11 The contractor must immediately inform the contracting authority of any changes in the exclusion situations as declared, according to Article 139 (1) of the *Financial Regulation*.

II.4.12 If the contractor fails to provide the services in accordance with high quality standards, the state of the art in the industry and the provisions of the FWC and/or a *specific contract* (in particular the tender specifications and the terms of its tender), the contracting authority may, even if such failure constitutes a breach that could trigger Article II.18.1, decide to have these obligations performed by a third party, at the contractor's expense. The contracting authority shall *formally notify* the contractor of its decision to have the contractor substituted and the grounds for this substitution.

Any such substitution does not affect the contractor's liability and is without prejudice to the contracting authority's other rights and remedies, including but not limited to its right to claim damages under Article II.18 that the substitution would not cover.

II.5. COMMUNICATION BETWEEN THE PARTIES

II.5.1. Form and means of communication

Any *notifications*, communication of information or exchange of documents under the FWC must be made in writing, in the language of the FWC and SC, if applicable, and must clearly identify the FWC number and *specific contract* number, if applicable.

Communication between the parties can take place:

- by electronic means, via electronic exchange system, in accordance with the provisions of Article II.5.2.;
- by electronic means, via email, in accordance with the provisions of Article II.5.3.;
- on paper, via mail - by courier service with proof of delivery or by registered post with proof of delivery, in accordance with the provisions of Article II.5.4.

In the cases where this FWC mandates the use of formal notifications, those formal communications are considered to have been made with their receipt by the receiving party.The specific rules when *formal notifications* are considered to have been received are provided in Sections II.5.2.2, II.5.3.2 and II.5.4.2 below.

Communication details to be used for all communication between the parties are indicated in Article I.7.

II.5.2. Communication via electronic exchange system (EES)

The contracting authority may use an EES for all exchanges with the contractor during the *implementation of the FWC*.

If communication via the EES is hindered by factors beyond the control of one party, including technical problems, the party who first discovers the hinderance must *notify* the other party immediately and the parties must take the necessary measures to restore this communication via the EES. Upon such *notification*, the parties shall use alternative means of communication until communication via electronic exchange system is restored. The provisions applicable to alternative means of communication are described in Articles II.5.3 and II.5.4 below.

If the EES is temporarily unavailable, the sending party cannot be considered in *breach of its obligation* to send a communication within a specified deadline. In any event, for reasons linked to business continuity, the contracting authority reserves the right to use alternative means of communication at any moment.

II.5.2.1 Date of communication via electronic exchange system for other than formal notifications

Notifications through the EES are generally considered to have been made when they are sent by the sending party (i.e. on the date and time they are sent through the EES) as indicated by the time logs.

II.5.2.2 Date of communication via electronic exchange system for formal notifications

The receiving date for *formal notifications* made through the EES will be the date and time the communication is accessed, as indicated by the time logs. *Formal notifications* that have not been accessed within 10 days after sending, will be considered to have been accessed.

II.5.3. Communication via email

When communicating via e-mail, the parties shall send their messages to the email addresses indicated in Article I.7.

II.5.3.1 Date of communications via email for other than formal notifications

Without prejudice to Article II.19 below and Point 31.3 of Annex I to the FR, *notifications* via email are considered to have been made and the email is deemed to have been received by the receiving party on the date of dispatch of that e-mail, if it is sent to the email address indicated in Article I.7 and does not have characteristics that could reasonably prevent its proper delivery (such as sending extremely voluminous e-mails that can be blocked for their size or emails containing elements that the majority of the spam filers would block). The sending party must be able to prove the date of dispatch. If the sending party sends the email to the email address indicated in Article I.7 and receives a non-delivery report, it must make every reasonable effort to ensure that the other party receives the communication.

II.5.3.2 Date of communications via email for formal notifications

Formal notifications by email are considered to have been received on the date of dispatch of a return email expressly or impliedly acknowledging receipt. In case no such email is received by the party who sent the *formal notification* within 10 days, the *formal notification* should be re-sent via courier service with proof of delivery or registered post (see Article II.5.4.2 below).

II.5.4. Communication via mail

As a rule, mail is used by way of exception for *formal notifications* and as alternative means of communication when the other means are not available.

When communicating via mail, the parties should send their letters to the postal addresses indicated in Article I.7.

II.5.4.1. Date of communications via mail for other than formal notifications

Without prejudice to Article 116 of the *Financial Regulation*, *notifications* via mail are considered to have been made at the date of receipt by the receiving party.

A receiving party cannot make use of its own refusal to be informed of the communication in order to render it ineffective.

Invoices sent to the contracting authority via mail are deemed to be received on the date when they are registered by the authorised department of the authorizing officer responsible.

II.5.4.2. Date of communications via mail for formal notifications

Formal notifications by courier service with proof of delivery are considered to have been received on the date indicated in the proof of delivery. *Formal notifications* by registered post with proof of delivery are considered to have been received either on the delivery date registered by the postal service or the deadline for collection at the post office.

II.6. LIABILITY

II.6.1 The contractor shall perform the contract at its own risk. The contractor warrants and holds the contracting authority harmless against any action or claim brought by a third party for any damage or loss suffered in relation to the *implementation of the FWC* (including the related costs such as lawyer fees).

II.6.2 If required by the relevant applicable legislation, the contractor must take out an insurance policy against risks and damage or loss relating to the *implementation of the FWC*. It must also take out supplementary insurance as reasonably required by standard practice in the industry. Upon request, the contractor must provide evidence of insurance coverage to the contracting authority.

II.6.3 Except in case of *force majeure*, the contractor is liable for any loss or damage caused to the contracting authority during or as a consequence of *implementation of the FWC* resulting from a breach attributable to the contractor, including in the event of subcontracting, but only up to an amount not exceeding three times the total amount of the relevant *specific contract*. However, if the damage or loss is caused by the gross negligence or wilful misconduct of the contractor, a *related person*, its *personnel* or its

subcontractors, or if an injury has been caused to the life or the physical integrity of a person, as well as in the case of an action brought against the contracting authority by a third party for breach of its intellectual property rights, the contractor is liable for the whole amount of the damage or loss.

II.6.4 If a third party brings any action against the contracting authority in connection with the *implementation of the FWC*, including any action for alleged breach of intellectual property rights, the contractor must assist the contracting authority in the legal proceedings, including by intervening in support of the contracting authority upon request.

If the contracting authority's liability towards the third party is established and that such liability is caused by the contractor during or as a consequence of the *implementation of the FWC*, Article II.6.1 applies. In that case, the limitations of liability foreseen in Article II.6.3 do not apply.

II.6.5 If the contractor is composed of two or more economic operators (i.e. who submitted a joint tender), they are all jointly and severally liable to the contracting authority for the *implementation of the FWC*.

II.6.6 The contracting authority is not liable for any loss or damage caused to the contractor during or as a consequence of *implementation of the FWC*, unless the loss or damage was caused by wilful misconduct or gross negligence of the contracting authority.

II.7. CONFLICT OF INTEREST AND PROFESSIONAL CONFLICTING INTERESTS

II.7.1 The contractor must take all the necessary measures to prevent any situation of *conflict of interest* or *professional conflicting interest*.

II.7.2 The contractor must *notify* the contracting authority in writing as soon as possible of any situation that could constitute a *conflict of interest* or a *professional conflicting interest* during the *implementation of the FWC*. The contractor must immediately take action to rectify the situation.

The contracting authority may do any of the following:

(a) verify that the contractor's action is appropriate;
(b) require the contractor to take further action within a specified deadline to rectify the situation;
(c) decide not to award any *specific contract* to the contractor until the situation has been rectified.

II.7.3 The contractor must pass on all the relevant obligations in writing to:

(a) its *personnel*;
(b) any *related person*;
(c) third parties involved in the *implementation of the FWC*, including subcontractors.

The contractor must also ensure that the persons referred to above are not placed in a situation which could give rise to conflicts of interest.

II.8. CONFIDENTIALITY

II.8.1. The contracting authority and the contractor must treat with confidentiality any information or documents, in any format, disclosed in writing or orally, relating to the *implementation of the FWC.*

II.8.2. Each party must:

(a) not use *confidential information or documents* for any purpose other than to perform its obligations under the FWC or a *specific contract* without the prior written agreement of the other party;

(b) ensure the protection of such *confidential information or documents* with the same level of protection as its own *confidential information or documents* and in any case with due diligence;

(c) not disclose, directly or indirectly, *confidential information or documents* to third parties without the prior written agreement of the other party.

II.8.3 The confidentiality obligations set out in this Article are binding on the contracting authority and the contractor during the *implementation of the FWC* and for as long as the information or documents remain confidential unless:

(a) the disclosing party agrees to release the receiving party from the confidentiality obligation earlier;

(b) the *confidential information or documents* become public through other means than a *breach* of the confidentiality obligation;

(c) the applicable law requires the disclosure of the *confidential information or documents*.

II.8.4 The contractor must obtain from any *related person* and its *personnel*, as well as from third parties involved in the *implementation of the FWC,* a written commitment that they will comply with this Article. At the request of the contracting authority, the contractor must provide a document providing evidence of this commitment.

II.8.5 The contracting authority is entitled to make available (any part of) the *confidential information or documents* to its staff and the staff of other Union institutions, agencies and bodies, as well to other persons and entities working for the contracting authority or cooperating with it. This includes other contractors or subcontractors and their *personnel*, who need to know the same for the performance of a contract who know they must treat it confidentially and who are bound by confidentiality obligations that are no less restrictive than the contracting authority's confidentiality obligations set out in this section.

II.8.6 The receiving party will, on request from the other party, return all copies and records of the *confidential information or documents* of the other party and will not retain any copies or records of the *confidential information or documents* of the other party.

II.8.7 The contractor must not grant access to any equipment provided by or delivered to the contracting authority during the implementation of the FWC to any third parties, unless priorly authorised by the contracting authority in writing.

II.9. PROCESSING OF PERSONAL DATA

II.9.1 Processing of personal data by the contracting authority

Any personal data included in or relating to the FWC, including its *implementation*, shall be processed in accordance with Regulation (EU) 2018/1725[11]. Such data shall be processed solely for the purposes of the *implementation*, management and monitoring of the FWC by the data controller.

The contractor or any other person whose personal data is processed by the data controller in relation to this FWC has specific rights as a data subject under Chapter III (Articles 14-25) of Regulation (EU) 2018/1725, in particular the right to access, rectify or erase their personal data and the right to restrict or, where applicable, the right to object to processing or the right to data portability.

Should the contractor or any other person whose personal data is processed in relation to this FWC have any queries concerning the processing of its personal data, it shall address itself to the data controller. They may also address themselves to the Data Protection Officer of the data controller. They have the right to lodge a complaint at any time to the European Data Protection Supervisor.

Details concerning the processing of personal data are available in the data protection notice referred to in Article I.8.

II.9.2 Processing of personal data by the contractor

The processing of personal data by the contractor shall meet the requirements of Regulation (EU) 2018/1725 and be processed solely for the purposes set out by the controller.

The contractor shall assist the controller for the fulfilment of the controller's obligation to respond to requests for exercising rights of person whose personal data is processed in relation to this FWC as laid down in Chapter III (Articles 14-25) of Regulation (EU) 2018/1725. The contractor shall inform without delay the controller about such requests.

The contractor may act only on documented written instructions and under the supervision of the controller, in particular with regard to the purposes of the processing, the categories of data that may be processed, the recipients of the data and the means by which the data subject may exercise its rights.

The contractor shall grant *personnel* access to the data to the extent strictly necessary for the *implementation*, management and monitoring of the FWC. The contractor must ensure that

[11] Regulation (EU) 2018/1725 of the European Parliament and of the Council of 23 October 2018 on the protection of natural persons with regard to the processing of personal data by the Union institutions, bodies, offices and agencies and on the free movement of such data, and repealing Regulation (EC) No 45/2001 and Decision No 1247/2002/EC, https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=celex%3A32018R1725

personnel authorised to process personal data has committed itself to confidentiality or is under appropriate statutory obligation of confidentiality in accordance with the provisions of Article II.8.

The contractor shall adopt appropriate technical and organisational security measures, giving due regard to the risks inherent in the processing and to the nature, scope, context and purposes of processing, in order to ensure, in particular, as appropriate:

(a) the pseudonymisation and encryption of personal data;
(b) the ability to ensure the ongoing confidentiality, integrity, availability and resilience of processing systems and services;
(c) the ability to restore the availability and access to personal data in a timely manner in the event of a physical or technical incident;
(d) a process for regularly testing, assessing and evaluating the effectiveness of technical and organisational measures for ensuring the security of the processing;
(e) measures to protect personal data from accidental or unlawful destruction, loss, alteration, unauthorised disclosure of or access to personal data transmitted, stored or otherwise processed.

The contractor shall *notify* relevant personal data breaches to the controller without undue delay and at the latest within 48 hours after the contractor becomes aware of the breach. In such cases, the contractor shall provide the controller with at least the following information:

(a) nature of the personal data breach including where possible, the categories and approximate number of data subjects concerned and the categories and approximate number of personal data records concerned;
(b) likely consequences of the breach;
(c) measures taken or proposed to be taken to address the breach, including, where appropriate, measures to mitigate its possible adverse effects.

The contractor shall immediately inform the data controller if, in its opinion, an instruction infringes Regulation (EU) 2018/1725, Regulation (EU) 2016/679, or other Union or Member State data protection provisions as referred to in the tender specifications.

The contractor shall assist the controller for the fulfilment of its obligations pursuant to Article 33 to 41 under Regulation (EU) 2018/1725 to:

(a) ensure compliance with its data protection obligations regarding the security of the processing, and the confidentiality of electronic communications and directories of users;
(b) *notify* a personal data breach to the European Data Protection Supervisor;
(c) communicate a personal data breach without undue delay to the data subject, where applicable;
(d) carry out data protection impact assessments and prior consultations as necessary.

The contractor shall maintain a record of all data processing operations carried on behalf of the controller, transfers of personal data, security breaches, responses to requests for exercising rights of people whose personal data is processed and requests for access to personal data by third parties.

The contracting authority is subject to Protocol 7 of the Treaty on the Functioning of the European Union on the privileges and immunities of the European Union, particularly as regards the inviolability of archives (including the physical location of data and services as set out in Article I.8.2) and data security, which includes personal data held on behalf of the contracting authority in the premises of the contractor or subcontractor.

The contractor shall *notify* the contracting authority without delay of any legally binding request for disclosure of the personal data processed on behalf of the contracting authority made by any national public authority, including an authority from a third country. The contractor may not give such access without the prior written authorisation of the contracting authority.

The duration of processing of personal data by the contractor will not exceed the period referred to in Article II.24.2. Upon expiry of this period, the contractor shall, at the choice of the controller, return, without any undue delay in a commonly agreed format, all personal data processed on behalf of the controller and the copies thereof or shall effectively delete all personal data unless Union or national law requires a longer storage of personal data.

For the purpose of Article II.10, if part or all of the processing of personal data is subcontracted to a third party, the contractor shall pass on the obligations referred to in Articles I.8.2 and II.9.2 in writing to those parties, including subcontractors. At the request of the contracting authority, the contractor shall provide a document providing evidence of this commitment.

II.10. SUBCONTRACTING

II.10.1 The contractor must not subcontract and have the FWC implemented by third parties beyond the third parties already mentioned in its tender without prior written authorisation from the contracting authority.

II.10.2 Even if the contracting authority authorises subcontracting, the contractor remains bound by its contractual obligations and remains entirely responsible for the *implementation of the FWC* vis-à-vis the contracting authority.

II.10.3 The contractor must ensure that the subcontract does not affect the rights of the contracting authority under this FWC, particularly those under Articles II.8, II.13 and II.24.

II.10.4 The contracting authority may request the contractor to replace a subcontractor found to be in a situation provided for in points (d) and (e) of Article II.18.1. The contractor bears the costs of such replacement.

II.11. AMENDMENTS

II.11.1 Any amendment to the FWC or a *specific contract* must be made in writing before all contractual obligations have been fulfilled. A *specific contract* does not constitute an amendment to the FWC. Any acceptance or payment by the contracting authority of an invoice referring to the general terms and conditions of the contractor does not constitute a valid amendment to the FWC or to a *specific contract* and does not make these general terms and conditions applicable to the FWC or a *specific contract*.

II.11.2 Any amendment must not make changes to the FWC or a *specific contract* that might alter the initial conditions of the procurement procedure or result in unequal treatment of tenderers or contractors.

II.12. ASSIGNMENT OF THE CONTRACT TO A THIRD-PARTY

II.12.1 The contractor must not assign any of the rights and obligations arising from the FWC or a *specific contract*.

II.12.2 By way of exception to the preceding clause, in duly justified exceptional circumstances, rights and / or obligations arising from the FWC and/or a *specific contract* may be assigned with the prior written authorisation of the contracting authority. This authorisation shall be granted or not at the discretion of the contracting authority and upon request by the contractor. The contractor's request shall detail the exceptional circumstances on which it is based and provide the identity of the intended assignee. The contracting authority may request additional information.

II.12.3 Any right or obligation assigned by the contractor without the authorisation mentioned in the preceding clause is not enforceable against the contracting authority. Accordingly, the assignor will remain jointly and severally bound with the assignee vis-à-vis the contracting authority.

II.13. INTELLECTUAL PROPERTY RIGHTS

II.13.1. Ownership of the rights in the results

The Union acquires irrevocably worldwide ownership of the *results* and of all intellectual property rights on the newly created materials produced specifically for the Union under the FWC and incorporated in the *results*, without prejudice however to the rules applying to *pre-existing rights* on *pre-existing materials*, as per Article II.13.2.

The intellectual property rights so acquired include any rights, such as copyright and other intellectual or industrial property rights, to any of the *results* and in all technological solutions and information created or produced by the contractor or by its subcontractor in *implementation of the FWC*. The contracting authority may exploit and use the acquired rights as stipulated in this FWC. The Union acquires all the rights as from the moment the contractor has created the *results*.

The payment of the price includes any fees payable to the contractor about the acquisition of ownership of rights by the Union including for all modes of exploitation and of use of the *results*.

II.13.2. Licensing rights on pre-existing materials

Unless provided otherwise in the special conditions, the Union does not acquire ownership of *pre-existing rights* under this FWC.

The contractor licenses the *pre-existing rights* on a royalty-free, non-exclusive and irrevocable basis to the Union, which may use the *pre-existing materials* for all the modes of exploitation

set out in this FWC or in *specific contracts*. Unless otherwise agreed, the licence is non-transferable and cannot be sub-licensed, except as provided hereafter:

(a) the *pre-existing rights* can be sub-licensed by the contracting authority to persons and entities working for it or cooperating with it, including contractors and subcontractors, whether legal or natural persons, but only for the purpose of their mission for the Union;

(b) if the *result* is a "document" such as a report or a study, and it is meant to be published, the existence of *pre-existing materials* in the *result* may not prevent the publication of the document, its translation or its "reuse", it being understood however that the "reuse" may only be made of the *result* as a whole and not of the *pre-existing materials* taken separately from the *result*; for the sake of this provision, "reuse" and "document" have the meaning given by the Commission Decision of 12 December 2011 on the reuse of Commission documents (2011/833/EU).

All *pre-existing rights* are licensed to the Union from the moment the *results* are delivered and approved by the contracting authority.

The licensing of *pre-existing rights* to the Union under this FWC covers all territories worldwide and is valid for the duration of intellectual property rights protection.

The payment of the price as set out in the *specific contracts* is deemed to also include any fees payable to the contractor in relation to the licensing of *pre-existing rights* to the Union, including for all forms of exploitation and of use of the *results*.

Where *implementation of the FWC* requires that the contractor uses *pre-existing materials* belonging to the contracting authority, the contracting authority may request that the contractor signs an adequate licence agreement. Such use by the contractor will not entail any transfer of rights to the contractor and is limited to the needs of this FWC.

II.13.3. Exclusive rights

The Union acquires the following exclusive rights:

(a) reproduction: the right to authorise or prohibit direct or indirect, temporary or permanent reproduction of the *results* by any means (mechanical, digital or other) and in any form, in whole or in part;
(b) communication to the public: the exclusive right to authorise or prohibit any display, performance or communication to the public, by wire or wireless means, including the making available to the public of the *results* in such a way that members of the public may access them from a place and at a time individually chosen by them; this also includes the communication on Internet and broadcasting by cable or by satellite;
(c) distribution: the exclusive right to authorise or prohibit any form of distribution of *results* or copies of the *results* to the public, by sale or otherwise;
(d) rental: the exclusive right to authorise or prohibit rental or lending of the *results* or of copies of the *results*;
(e) adaptation: the exclusive right to authorise or prohibit any modification of the *results*;
(f) translation: the exclusive right to authorise or prohibit any translation, adaptation, arrangement, creation of derivative works based on the *results*, and any other alteration of the *results*, subject to the respect of moral rights of authors, where applicable;

(g) where the *results* are or include a database: the exclusive right to authorise or prohibit the extraction of all or a substantial part of the contents of the database to another medium by any means or in any form; and the exclusive right to authorise or prohibit the re-utilization of all or a substantial part of the contents of the database by the distribution of copies, by renting, by on-line or other forms of transmission;
(h) where the *results* are or include a patentable subject-matter: the right to register them as a patent and to further exploit such patent to the fullest extent;
(i) where the *results* are or include logos or subject-matter which could be registered as a trademark: the right to register such logo or subject-matter as a trademark and to further exploit and use it;
(j) where the *results* are or include know-how: the right to use such know-how as is necessary to make use of the *results* to the full extent provided for by this FWC, and the right to make it available to contractors or subcontractors acting on behalf of the contracting authority, subject to their signing of adequate confidentiality undertakings where necessary;
(k) where the *results* are documents:

1. the right to authorise the reuse of the documents in conformity with the Commission Decision of 12 December 2011 on the reuse of Commission documents (2011/833/EU), to the extent it is applicable and the documents fall within its scope and are not excluded by any of its provisions; for the sake of this provision, "reuse" and "document" have the meaning given to them by this Decision;
2. the right to store and archive the *results* in line with the document management rules applicable to the contracting authority, including digitisation or converting the format for preservation or new use purposes;

(l) where the *results* are or incorporate software, including source code, object code and, where relevant, documentation, preparatory materials and manuals, in addition to the other rights mentioned in this Article:

1. end-user rights, for all uses by the Union or by subcontractors which result from this FWC and from the intention of the parties;
2. the rights to receive both the source code and the object code;

(m) the right to license to third parties any of the exclusive rights or of the modes of exploitation set out in this FWC; however, for *pre-existing materials* which are only licensed to the Union, the right to sub-license does not apply, except in the two cases foreseen by Article II.13.2.;
(n) to the extent that the contractor may invoke moral rights, the right for the contracting authority, except where otherwise provided in this FWC, to publish the *results* with or without mentioning the *creator*(s)' name(s), and the right to decide when and whether the *results* may be disclosed and published.

The contractor warrants that the exclusive rights and the modes of exploitation may be exercised by the Union on all parts of the *results*, be it via a transfer of ownership of the rights, on those parts which were specifically created by the contractor, or via a licence of the *pre-existing rights*, on those parts consisting of *pre-existing materials*.

Where *pre-existing materials* are inserted in the *results*, the contracting authority may accept reasonable restrictions impacting on the above list, provided that the said materials are easily identifiable and separable from the rest, that they do not correspond to substantial elements of

the *results*, and that, should the need arise, satisfactory replacement solutions exist, at no additional costs to the contracting authority. In such case, the contractor will have to clearly inform the contracting authority before making such choice and the contracting authority has the right to refuse it.

II.13.4. Identification of pre-existing rights

When delivering the *results*, the contractor must warrant that, for any use that the contracting authority may envisage within the limits set in this FWC, the newly created parts and the *pre-existing material* incorporated in the *results* are free of claims from *creators* or from any third parties and all the necessary *pre-existing rights* have been obtained or licensed.

To that effect, the contractor must establish a list of all *pre-existing rights* to the *results* of this FWC or parts thereof, including identification of the rights' owners. If there are no *pre-existing rights* to the *results*, the contractor must provide a declaration to that effect. The contractor must provide this list or declaration to the contracting authority together with the invoice for payment of the balance at the latest.

II.13.5. Evidence of granting of pre-existing rights

Upon request by the contracting authority, the contractor must, in addition to the list mentioned under Article II.13.4., provide evidence that it has the ownership or the right to use all the listed *pre-existing rights*, except for the rights owned or licensed by the Union. The contracting authority may request this evidence even after the end of this FWC.

This provision also applies to image rights and sound recordings.

This evidence may refer, for example, to rights to: parts of other documents, images, graphs, sounds, music, tables, data, software, technical inventions, know-how, IT development tools, routines, subroutines or other programs ('background technology'), concepts, designs, installations or pieces of art, data, source or background materials or any other parts of external origin.

This evidence must include, as appropriate:

(a) the name and version number of a software product;
(b) the full identification of the work and its author, developer, *creator*, translator, data entry person, graphic designer, publisher, editor, photographer, producer;
(c) a copy of the licence to use the product or of the agreement granting the relevant rights to the contractor or a reference to this licence;
(d) a copy of the agreement or extract from the employment contract granting the relevant rights to the contractor where parts of the *results* were created by its *personnel*;
(e) the text of the disclaimer notice if any.

Provision of evidence does not release the contractor from its responsibilities if it is found that it does not hold the necessary rights, regardless of when and by whom this fact is revealed.

The contractor also warrants that it possesses the relevant rights or powers to execute the transfer and that it has paid or has verified payment of all due fees including fees due to collecting societies, related to the final *results*.

II.13.6. Quotation of works in the result

In the *result*, the contractor must clearly point out all quotations of existing works. The complete reference should include as appropriate, the following: name of the author, title of the work, date and place of publication, date of creation, address of publication on the internet, number, volume and other information that allows the origin to be easily identified.

II.13.7. Moral rights of creators

By delivering the *results*, the contractor warrants that the *creators* will not object to the following on the basis of their moral rights under copyright:

(a) that their names be mentioned or not mentioned when the *results* are presented to the public;
(b) that the *results* be divulged or not after they have been delivered in their final version to the contracting authority;
(c) that the *results* be adapted, provided that this is done in a manner which is not prejudicial to the *creator*'s honour or reputation.

If moral rights on parts of the *results* protected by copyright may exist, the contractor must obtain the consent of *creators* regarding the granting or waiver of the relevant moral rights in accordance with the applicable legal provisions and be ready to provide documentary evidence upon request.

II.13.8. Image rights and sound recordings

If natural persons appear in a *result* or their voice or any other private element is recorded in a recognisable manner, the contractor must obtain a statement by these persons (or, in the case of minors, by the persons exercising parental authority) giving their permission for the described use of their image, voice or private element and, on request, submit a copy of the permission to the contracting authority. The contractor must take the necessary measures to obtain such consent in accordance with the applicable legal provisions.

II.13.9. Copyright notice for pre-existing rights

When the contractor retains *pre-existing rights* on parts of the *results*, reference must be inserted to that effect when the *result* is used as set out in Article I.9.1, with the following disclaimer: '© — year — European Union. All rights reserved. Certain parts are licensed under conditions to the EU', or with any other equivalent disclaimer as the contracting authority may consider best appropriate, or as the parties may agree on a case-by-case basis. This does not apply where inserting such reference would be impossible, notably for practical reasons.

II.13.10. Visibility of Union funding and disclaimer

When making use of the *results*, the contractor must declare that they have been produced under a contract with the Union and that the opinions expressed are those of the contractor only and do not represent the contracting authority's official position. The contracting authority may waive this obligation in writing or provide the text of the disclaimer.

II.14. FORCE MAJEURE

II.14.1 If a party is affected by *force majeure*, it must immediately *notify* the other party, stating the nature of the circumstances, their likely duration and foreseeable effects.

II.14.2 A party is not liable for any delay or failure to perform its obligations under the FWC or a *specific contract* if that delay or failure is a result of *force majeure*. If the contractor is unable to fulfil its contractual obligations owing to *force majeure*, it has the right to remuneration only for the services actually provided.

II.14.3 The parties must take all necessary measures to limit any damage due to *force majeure*.

II.14.4 *Force majeure* either suspends the *implementation of the FWC* as provided for in Article II.17 or leads to the termination of the FWC as provided for in Article II.18. The effects of the suspension of the FWC due to *Force Majeure* on the duration are laid down in Article I.3.4.

II.15. LIQUIDATED DAMAGES FOR DELAY IN DELIVERY

II.15.1. Delay in delivery

Without prior notice of default to the contractor or prior judicial intervention being required, if the contractor fails to perform its contractual obligations within the applicable time limits set out in this FWC or a *specific contract*, the contracting authority may claim liquidated damages for each day of delay using the following formula:

0.3 x (*V/d*)

where:

V is the price of the relevant order of services or deliverable or *result*;

d is the duration specified in the relevant *specific contract* for delivery of the relevant services or deliverable or *result* or, failing that, the period between the date specified in Article I.4.1 and the date of delivery or performance specified in the relevant sp*ecific contract*, expressed in days.

Liquidated damages for delay in delivery may be imposed together with a reduction in price under the conditions laid down in Article II.16 or a substitution of the contractor under the conditions laid down in Article II.4.12.

Any claim for liquidated damages does not affect (a) the contractor's liability for damages that liquidated damages would not cover, (b) the contracting authority's rights under Article II.18, nor (c) the contracting authority's rights under Article II.4.12 or (d) any other right or remedy that the contracting authority may have under the FWC or a *specific contract*.

II.15.2. Procedure

The contracting authority must *formally notify* the contractor of its intention to apply liquidated damages for delay in delivery and the corresponding calculated amount.

The contractor has 30 days following the date of receipt to submit observations. After having received any observations submitted or, failing that, following the expiry of the time limit for submitting observations, the contracting authority must *notify* the contractor:

(a) of the withdrawal of its intention to apply liquidated damages; or

(b) of its final decision to apply liquidated damages and the corresponding amount.

II.15.3. Nature of liquidated damages

The parties expressly acknowledge and agree that any amount payable under this Article is not a penalty and, in view of all the circumstances including the legitimate interest of the contracting authority for a timely delivery to fulfil its mission of public services, represents a reasonable estimate of fair compensation for the damage that may be incurred by the contracting authority due to failure to provide the services within the applicable time limits set out in this FWC or in a *specific contract*.

II.16. REDUCTION IN PRICE

II.16.1. Quality standards

Without prior notice of default to the contractor or prior judicial intervention being required, if the contractor fails to provide the service in accordance with high quality standards, the state of the art in the industry and the provisions of the FWC and/or a *specific contract* (in particular the tender specifications and the terms of its tender), the contracting authority may, even if this failure constitutes a breach that could trigger Article II.18.1, reduce the price in direct proportion to the difference, upon the time of the signature of the FWC, between the value of the unperformed obligations or low quality delivery and the value of the agreed services. This includes, in particular, cases where the contracting authority cannot approve a *result*, report or deliverable, as defined in Article I.6, after the contractor has submitted the required additional information, correction or new version.

A reduction in price may be imposed together with liquidated damages for delay in delivery under the conditions of Article II.15.

Any reduction in price does not affect the contractor's liability or the contracting authority's rights under Article II.18 for damages that the reduction in price would not cover or any other right or remedy that the contracting authority may have under the FWC or a *specific contract*.

II.16.2. Procedure

The contracting authority must *formally notify* the contractor of its intention to reduce the price and the corresponding calculated amount.

The contractor has 30 days following the date of receipt to submit observations. After having received any observations submitted or, failing that, following the expiry of the time limit for submitting observations, the contracting authority must *notify* the contractor:

(a) of the withdrawal of its intention to reduce the price; or

(b) of its final decision to reduce the price and the corresponding amount.

II.17. SUSPENSION OF THE IMPLEMENTATION OF THE FWC

II.17.1. Suspension by the contractor

If the *performance of a specific contract* is affected by *force majeure*, the contractor may suspend the provision of the services under that *specific contract*.

The contractor must immediately *formally notify* the contracting authority of the suspension. The *notification* must include a description of the *force majeure* and state when the contractor expects to resume the provision of services.

The contractor must *notify* the contracting authority as soon as it is able to resume *performance of the specific contract*, unless the contracting authority has already terminated the FWC or the *specific contract*.

The contracting authority is not entitled to compensation for suspension of any part of the FWC or a *specific contract*, in the event of *force majeure*.

II.17.2. Suspension by the contracting authority

The contracting authority may suspend the *implementation of the FWC* or *performance of a specific contract* or any part of it; including but not limited to payments:

(a) in case of *force majeure* affecting the *implementation of the FWC* or the *performance of a specific contract*;
(b) in order to verify whether the presumed *irregularities, fraud* or *breach of obligations* have actually occurred;
(c) if the procedure for awarding the FWC or a *specific contract* or the *implementation of the FWC* proves to have been subject to *irregularities, fraud or breach of obligations*.

The contracting authority must *formally notify* the contractor of the suspension and the reasons for it. Suspension takes effect on the date of *formal notification*, or at a later date if the *formal notification* so provides.

The contracting authority must *notify* the contractor as soon as the verification is completed whether:

(a) it is lifting the suspension; or
(b) it intends to terminate the FWC or a *specific contract* under Article II.18.1(f) or (j).

The contractor is not entitled to compensation for suspension of any part of the FWC or a *specific contract*.

The contracting authority may in addition suspend the time allowed for payments in accordance with Article II.21.7.

II.18. TERMINATION OF THE FWC

II.18.1. Grounds for termination by the contracting authority

The contracting authority may terminate the FWC or any on-going *specific contract* in the following circumstances:

(a) if provision of the services under an on-going *specific contract* has not actually started within 15 days of the scheduled date and the contracting authority considers that the new date proposed, if any, is unacceptable, taking into account Article II.11.2;
(b) if the contractor is unable to obtain any permit or licence required for *implementation of the FWC*;
(c) if the contractor fails to implement the FWC or to perform the *specific contract* in accordance with the tender specifications or *request for specific contract* or is materially in breach of another contractual obligation or repeatedly refuses to sign *specific contracts*. Termination of three or more *specific contracts* in these circumstances also constitutes grounds for termination of the FWC;
(d) if the contractor or any person that assumes unlimited liability for the debts of the contractor is in one of the situations provided for in points (a) and (b) of Article 138(1) of the *Financial Regulation*;
(e) if the contractor or any *related person* is in one of the situations provided for in points (c) to (i) of Article 138(1) or in Article 138 (2) or in Article 138 (3) of the *Financial Regulation*;
(f) if the procedure for awarding the FWC or the *implementation of the FWC* prove to have been subject to *errors*, *irregularities*, *fraud* or *breach of obligations*;
(g) if the contractor does not comply with applicable obligations under environmental, social and labour law established by Union law, national law, collective agreements or by the international environmental, social and labour law provisions listed in Annex X to Directive 2014/24/EU;
(h) if the contractor is in a situation that could constitute a *conflict of interest* or a *professional conflicting interest* as referred to in Article II.7 and does not rectify the situation;
(i) if a change to the contractor's legal, financial, technical, organisational or ownership situation is likely to substantially affect the *implementation of the FWC* or substantially modify the conditions under which the FWC was initially awarded or a change regarding the exclusion situations listed in Article 138 of the *Financial Regulation* that calls into question the decision to award the contract or the contractor becomes subject to restrictive measures hindering the *implementation of the FWC*;
(j) in the event of *force majeure*, where either resuming *implementation* is impossible or the necessary ensuing amendments to the FWC or a *specific contract* would mean that the tender specifications are no longer fulfilled or result in unequal treatment of tenderers or contractors;
(k) if the needs of the contracting authority change and it no longer requires new services under the FWC; in such cases ongoing *specific contracts* remain unaffected;
(l) if the termination of the FWC with one or more of the contractors means that the multiple FWC with reopening of competition no longer has the minimum required level of competition;
(m) if the contractor is in breach of the data protection obligations resulting from Article II.9.2;

(n) if the contractor does not comply with the applicable data protection obligations resulting from Regulation (EU) 2016/679[12];
(o) if it is manifest that, at a later date and before such breach becomes effective, the contractor will materially fail to implement the FWC or to perform the *specific contract* in accordance with the tender specifications or *request for specific contarct* or will be materially in breach of another contractual obligation or will repeatedly refuse to sign *specific contracts*, unless the contractor provides the contracting authority with sufficient assurances of its future performance;
(p) where the contractor or any related entity or person has violated any provisions on security and confidentiality included in Articles I.14 and II.8 of the FWC or specific contracts signed to implement it.

II.18.2. Grounds for termination by the contractor

The contractor may terminate the FWC or any on-going *specific contract* if the contracting authority materially fails to comply with its obligations, in particular the obligation to provide the information needed for the contractor to implement the FWC or to perform a *specific contract* as provided for in the tender specifications.

The contractor may also terminate the FWC or any on-going *specific contract* in the event of *force majeure*, where resuming *implementation* is impossible.

II.18.3. Procedure for termination

A party must *formally notify* the other party of its intention to terminate the FWC or a *specific contract* and the grounds for termination.

The other party has 15 days following the date of receipt to submit observations, including the measures it has taken or will take to continue fulfilling its contractual obligations or, in the case of Article II.18.1(o), the assurances it gives to fulfil its contractual obligations in the future.

After having received any observations submitted or, failing that, following the expiry of the time limit for submitting observations, the party intending to terminate must *formally notify* the other party either of the withdrawal of its intention to terminate or of its final decision to terminate.

In the cases referred to in points (a) to (d), (g) to (i), (k) to (p) of Article II.18.1 and in Article II.18.2, the date on which the termination takes effect must be specified in the *formal notification*.

In the cases referred to in points (e), (f) and (j) of Article II.18.1, the termination takes effect on the day following the date on which the contractor receives *notification* of termination.

In addition, at the request of the contracting authority and regardless of the grounds for termination, the contractor must provide all necessary assistance, including information,

[12] Regulation (EU) 2016/679 of the European Parliament and of the Council of 27 April 2016 on the protection of natural persons with regard to the processing of personal data and on the free movement of such data, and repealing Directive 95/46/EC (General Data Protection Regulation), OJ L 119, 4.5.2016, http://data.europa.eu/eli/reg/2016/679/2016-05-04

documents and files, to allow the contracting authority to complete, continue or transfer the services to a new contractor or internally, without interruption or adverse effect on the quality or continuity of the services. The parties may agree to draw up a transition plan detailing the contractor's assistance unless such plan is already detailed in other contractual documents or in the tender specifications. The contractor must provide such assistance at no additional cost, except if it can demonstrate that it requires substantial additional resources or means, in which case it must provide an estimate of the costs involved and the parties will negotiate an arrangement in good faith.

II.18.4. Effects of termination

The contractor is liable for damage incurred by the contracting authority as a result of the termination of the FWC or a *specific contract*, including the additional cost of appointing and contracting another contractor to provide or complete the services, except if the damage is a result of a termination in accordance with Article II.18.1(j), (k) or (l) or Article II.18.2. The contracting authority may claim compensation for such damage.

The contractor is not entitled to compensation for any loss resulting from the termination of the FWC or a *specific contract*, including loss of anticipated profits, unless the loss was caused by the situation specified in the first subparagraph of Article II.18.2.

The contractor must take all appropriate measures to minimise costs, prevent damage and cancel or reduce its commitments.

Within 60 days of the date of termination, the contractor must submit any report, deliverable or *result* and any invoice required for services that were provided before the date of termination.

In the case of joint tenders, the contracting authority may terminate the FWC or a *specific contract* with each member of the group separately on the basis of points (d), (e), (g), (m), (n) and (o) of Article II.18.1, under the conditions set out in Article II.11.2.

II.19. INVOICES, VALUE ADDED TAX AND E-INVOICING

II.19.1. Invoices and value added tax

Invoices must contain the contractor's identification data, the amount, the currency and the date, as well as the FWC reference and reference to the *specific contract*.

Invoices must indicate the place of taxation of the contractor for value added tax (VAT) purposes and must specify separately the taxable amount per rate or exemption, the VAT rate applied and the VAT amount payable.

The contracting authority is exempt from all taxes and duties, including VAT, in accordance with Articles 3 and 4 of the Protocol 7 of the Treaty on the Functioning of the European Union on the privileges and immunities of the European Union and Article 151, §1 of the Directive 2006/112/CE.

The contractor must complete the necessary formalities with the relevant authorities to ensure that the supplies and services required for *implementation of the FWC* are exempt from taxes and duties, including VAT.

In case of joint tenders from a group of economic operators without separate legal personality, in order to allow the members of the group to complete the formalities with the relevant authorities to ensure the tax exemption, the contracting authority shall issue a VAT exemption certificate for each respective group member of the joint tender, if the transaction is taxable for VAT purposes as an intra-community purchase. Each certificate shall cover only the member's part of the service provided and shall include a description of it and its value.

The contracting authority shall attach to each *order form* or *specific contract* an annex if part of the transaction is taxable for VAT purposes as a local purchase in Belgium. The leader shall include in the annex a description of the service supplied by each member of the group, specify its value and sign it. If the repartition of the tasks is not known at the moment of the *specific contract* or *order form* signature, the group leader shall fill in the annex with the relevant information as soon as the repartition of the tasks is known and submit it to the Commission at the latest together with the invoices issued by each member of the group. The leader shall also send one copy of the annex to each member whose part of the service supplied is taxable for VAT purposes as a local purchase in Belgium.

Each member of the group shall issue an invoice to the Commission on its share/part of the service, as outlined in the above mentioned annex(es).

The Commission shall pay the amounts corresponding to these invoices to the leader on its bank account.

Payments to the leader will discharge the Commission from its payment obligation vis à vis the other members of the group.

For the group members (including leaders), if the transaction is taxable for VAT purpose as a local purchase in another Member State, local exemption rules apply.

For invoices sent to the contracting authority via email, the reception date must be considered as the date on which the request for payment is registered after reception in the functional mailbox of the contracting authority. The functional mailbox in which the payments requests are to be sent, should be provided in the *specific contracts*.

II.19.2. E-invoicing

If the use of electronic exchange system has been activated under Article I.7.1, the contractor submits invoices in electronic format in compliance with Directive 2006/112/EC on VAT, through the *Portal*, in accordance with the *Portal* Terms and Conditions and using the forms and templates provided there, or through means of supported *interoperability networks* compliant with the Directive 2014/55/EU on electronic invoicing in public procurement.

For avoidance of doubt, the e-invoices must be issued in conformity with the repartition of tasks as per the annex mentioned in Article II.19.1 and the payment conditions described in the same Article fully apply.

II.20. PRICE REVISION

If a price revision index is provided in Article I.5.2, this Article applies to it.

In that case, prices are fixed and not subject to revision during the first year of the FWC.

At the beginning of the second and every following year of the FWC, each price may be revised upwards or downwards at the request of one of the parties.

A party may request a price revision in writing no later than three months before the anniversary date of entry into force of the FWC. The other party must acknowledge the request within 14 days of receipt.

At the anniversary date, the contracting authority must communicate the final index for the month in which the request was received, or failing that, the last provisional index available for that month. The contractor establishes the new price on this basis and communicates it as soon as possible to the contracting authority for verification.

The contracting authority orders services on the basis of the prices in force at the date on which the *specific contract* enters into force. Without prejudice to the previous paragraph, for specific contracts in phases or subject to renewal, the contracting authority orders services on the basis of the prices in force on the date indicated as start date of the next phase, or on the date of renewal.

The price revision is calculated using the following formula:

$$Pr = 0{,}8 \times Po \times \left(\frac{Ir}{Io}\right) + 0{,}2 \times Po$$

where: Pr = revised price;

Po = price in the tender;

Io = index for the month in which the FWC enters into force;

Ir = index for the month in which the request to revise prices is received.

II.21. PAYMENTS AND GUARANTEES

II.21.1. Date of payment

The date of payment is deemed to be the date on which the contracting authority's account is debited.

II.21.2. Currency

Payments are made in euros, unless another currency is provided for in Article I.6.1.

II.21.3. Conversion

The contracting authority makes any conversion between the euro and another currency at the daily euro exchange rate published in the Official Journal of the European Union, or failing that, at the monthly accounting exchange rate, as established by the European Commission and

published on the website indicated below, applicable on the day when it issues the payment order.

The contractor makes any conversion between the euro and another currency at the monthly accounting exchange rate, established by the Commission and published on the website indicated below, applicable on the date of the invoice.

Exchange rate (InforEuro) | European Commission (europa.eu)[13]

II.21.4. Costs of transfer

The costs of the transfer are borne as follows:

(a) the contracting authority bears the costs of dispatch charged by its bank;
(b) the contractor bears the costs of receipt charged by its bank;
(c) the party causing repetition of the transfer bears the costs for repeated transfer.

II.21.5. Pre-financing, performance and money retention guarantees

If, as provided for in Article I.6, a financial guarantee is required for the payment of pre-financing, as performance guarantee or as retention money guarantee, it must fulfil the following conditions:

(a) the financial guarantee is provided by a bank or a financial institution approved by the contracting authority or, at the request of the contractor and with the agreement of the contracting authority, by a third party; and
(b) the guarantee shall have the effect of making the bank or financial institution or the third party provide irrevocable collateral security, or stand as first-call guarantor of the contractor's obligations without requiring that the contracting authority has recourse against the principal debtor (the contractor).

The contractor bears the cost of providing such guarantee.

Pre-financing guarantees must remain in force until the pre-financing is cleared against interim payments or payment of the balance. Where the payment of the balance takes the form of a debit note, the pre-financing guarantee must remain in force for three months after the debit note is sent to the contractor. The contracting authority must release the guarantee within the following month.

Performance guarantees cover compliance with contractual obligations until the contracting authority has given its final approval for the service. The performance guarantee must not exceed 10 % of the total price of the *specific contract*. The contracting authority must release the guarantee fully after final approval of the service, as provided for in the s*pecific contract*.

Retention money guarantees cover full delivery of the service in accordance with the *specific contract* including during the contract liability period and until the final approval of the service

[13] https://commission.europa.eu/funding-tenders/procedures-guidelines-tenders/information-contractors-and-beneficiaries/exchange-rate-inforeuro_en

by the contracting authority. The retention money guarantee must not exceed 10 % of the total price of the *specific contract*. The contracting authority must release the guarantee after the expiry of the contract liability period as provided for in the *specific contract*.

The contracting authority must not request a retention money guarantee for a *specific contract* where it has requested a performance guarantee.

II.21.6. Interim payments and payment of the balance

The contractor must send an invoice for interim payment, as provided for in Article I.6 or in the tender specifications or in the *specific contract*.

The contractor must send an invoice for payment of the balance within 60 days of the end of the period of provision of the services, as provided for in Article I.6, in the tender specifications or in the *specific contract*.

Payment of the invoice and approval of documents does not imply recognition of the regularity, authenticity, completeness and correctness of the declarations and information they contain.

Payment of the balance may take the form of recovery as provided for in Article II.23.

II.21.7. Suspension of the time allowed for payment

The contracting authority may suspend the payment periods specified in Article I.6 at any time by *notifying* the contractor (or leader in the case of a joint tender) that its invoice cannot be processed. The reasons the contracting authority may cite for not being able to process an invoice are:

(a) because it does not comply with the FWC;
(b) because the contractor has not produced the appropriate documents or deliverables; or
(c) because the contracting authority has observations on the documents or deliverables submitted with the invoice;
(d) because it is manifest that, at a later date and before such breach becomes effective, the contractor will materially fail to implement the FWC or to perform the *specific contract* in accordance with the tender specifications or *request for specific contract* or will be in material breach of another contractual obligation or will repeatedly refuse to sign *specific contracts*, unless the contractor provides the contracting authority with sufficient assurances of its future performance.

The contracting authority must *notify* the contractor (or leader in the case of joint tender) as soon as possible of any such suspension, giving the reasons for it. In cases b) and c) referred above, the contracting authority shall *notify* the contractor (or leader in case of a joint tender) the time limits to submit additional information or corrections or a new version of the documents or deliverables if the contracting authority requires it.

Suspension takes effect on the date the contracting authority sends the *notification*. The remaining payment period resumes from the date on which the requested information, sufficient assurances or revised documents are received or the necessary further verification, including on-the-spot checks, is carried out. Where the suspension period exceeds two months, the

contractor (or leader in the case of a joint tender) may request the contracting authority to justify the continued suspension.

Where the payment periods have been suspended following rejection of a document referred to in the first paragraph of this Article and the new document produced is also rejected, the contracting authority reserves the right to terminate the *specific contract* in accordance with Article II.18.1(c).

II.21.8. Interest on late payment

On expiry of the payment periods specified in Article I.6, the contractor (or leader in the case of a joint tender) is entitled to interest on late payment at the rate applied by the European Central Bank for its main refinancing operations in euros (the reference rate) plus eight points. The reference rate is the rate in force, as published in the C series of the *Official Journal of the European Union*, on the first day of the month in which the payment period ends.

Suspension of the payment period as provided for in Article II.21.7 is not considered as giving rise to late payment.

Interest on late payment covers the period running from the day following the due date for payment up to and including the date of payment as defined in Article II.21.1.

However, when the calculated interest is EUR 200 or less, it must be paid to the contractor (or leader in the case of a joint tender) only if it requests it within two months of receiving late payment.

II.22. REIMBURSEMENTS

II.22.1 If provided for in the special conditions or in the tender specifications, the contracting authority must reimburse expenses directly connected with the provision of the services either when the contractor provides it with supporting documents or on the basis of flat rates.

II.22.2 The contracting authority reimburses travel and subsistence expenses on the basis of the shortest itinerary and the minimum number of nights necessary for overnight stay at the destination.

II.22.3 The contracting authority reimburses travel expenses as follows:

(a) travel by air: up to the maximum cost of an economy class ticket at the time of the reservation;

(b) travel by boat or rail: up to the maximum cost of a first class ticket;

(c) travel by car: at the rate of one first class rail ticket for the same journey and on the same day.

In addition, the contracting authority reimburses travel outside Union territory if it has given its prior written approval for the expenses.

II.22.4 The contracting authority reimburses subsistence expenses on the basis of a daily subsistence allowance as follows:

(a) for journeys of less than 200 km for a return trip, no subsistence allowance is payable;

(b) the daily subsistence allowance is payable only on receipt of supporting documents proving that the person concerned was present at the destination;

(c) the daily subsistence allowance takes the form of a flat-rate payment to cover all subsistence expenses, including meals, local transport including transport to and from the airport or station, insurance and sundries;

(d) the daily subsistence allowance is reimbursed at the flat rates specified in Article I.5.3;

(e) accommodation is reimbursed on receipt of supporting documents proving the necessary overnight stay at the destination, up to the flat-rate ceilings specified in Article I.5.3.

II.22.5 The contracting authority reimburses the cost of shipment of equipment or unaccompanied luggage if it has given its prior written approval for the expense.

II.23. RECOVERY

II.23.1 If an amount is to be recovered under the terms of the FWC, the contractor must repay the contracting authority the amount in question.

II.23.2 Recovery procedure

Before recovery, the contracting authority must *formally notify* the contractor of its intention to recover the amount it claims, specifying the amount due and the reasons for recovery and inviting the contractor to make any observations within 30 days of receipt.

If no observations have been submitted or if, despite the observations submitted, the contracting authority decides to pursue the recovery procedure, it must confirm recovery by *formally notifying* a debit note to the contractor, specifying the date of payment. The contractor must pay in accordance with the provisions specified in the debit note.

If the contractor does not pay by the due date, the contracting authority may, after informing the contractor in writing, recover the amounts due:

(a) by offsetting them against any amounts owed to the contractor by the Union or by the European Atomic Energy Community or by an executive agency when it implements the Union budget;
(b) by calling in a financial guarantee if the contractor has submitted one to the contracting authority;
(c) by taking legal action.

II.23.3 Interest on late payment

If the contractor does not honour the obligation to pay the amount due by the date set by the contracting authority in the debit note, the amount due bears interest at the rate indicated in Article II.21.8. Interest on late payments will cover the period starting on the day after the due date for payment and ending on the date when the contracting authority receives the full amount owed.

Any partial payment is first entered against charges and interest on late payment and then against the principal amount.

II.23.4 Recovery rules in the case of joint tender

If the contract is signed by a group (joint tender), the members of the group are jointly and severally liable under the conditions set out in Article II.6 (liability). The contracting authority shall send the debit note first to the leader of the group.

If the leader does not pay by the due date the whole amount, and if the amount due cannot be offset or can only be offset partially in accordance with Article II.23.2 (a), the contracting authority may claim the amount still due from any other member or members of the group by respectively *notifying* them with a debit note in conformity with the provisions laid down in Article II.23.2.

II.24. CHECKS AND AUDITS

II.24.1 The contracting authority may check or require an audit on the *implementation of the FWC*. This may be carried out by any outside body authorised to do so on its behalf.

Such checks and audits may be initiated at any moment during the provision of the services and up to five years starting from the payment of the balance of the last *specific contract* issued under this FWC.

The audit procedure is initiated on the date of receipt of the relevant letter sent by the contracting authority. Audits are carried out on a confidential basis.

II.24.2 The contractor must keep all original documents stored on any appropriate medium, including digitised originals if authorised under national law, for a period of five years starting from the payment of the balance of the last *specific contract* issued under this FWC.

II.24.3 The contractor must grant the contracting authority's staff and outside personnel authorised by the contracting authority the appropriate right of access to sites and premises where the FWC is implemented and to all the information, including information in electronic format, needed to conduct such checks and audits. The contractor must ensure that the information is readily available at the moment of the check or audit and, if so requested, that information is handed over in an appropriate format.

II.24.4 On the basis of the findings made during the audit, a provisional report is drawn up. The contracting authority or its authorised representative must send it to the contractor, which has 30 days following the date of receipt to submit observations. The contractor

must receive the final report within 60 days following the expiry of the deadline to submit observations.

On the basis of the final audit findings, the contracting authority may recover all or part of the payments made in accordance with Article II.23 and may take any other measures which it considers necessary.

II.24.5 In accordance with Council Regulation (Euratom, EC) No 2185/96 of 11 November 1996 concerning on-the-spot checks and inspection carried out by the Commission in order to protect the European Communities' financial interests against *fraud* and other *irregularities* and Regulation (EU, Euratom) No 883/2013 of the European Parliament and of the Council of 11 September 2013 concerning investigations conducted by the European Anti-Fraud Office, the European Anti-Fraud Office may carry out investigations, including on the spot checks and inspections, to establish whether there has been *fraud*, corruption, *irregularities* or any other illegal activity under the contract affecting the financial interests of the Union. Findings arising from an investigation may lead to criminal prosecution under national law.

The investigations may be carried out at any moment during the provision of the services and up to five years starting from the payment of the balance of the last *specific contract* issued under this FWC.

II.24.6 The Court of Auditors and the European Public Prosecutor's Office established by Council Regulation (EU) 2017/1939[14] ('the EPPO') and, for the processing of personal data, the European Data Protection Supervisor have the same rights as the contracting authority, particularly right of access, for the purpose of checks, audits and investigations.

[14] Council Regulation (EU) 2017/1939 of 12 October 2017 implementing enhanced cooperation on the establishment of the European Public Prosecutor's Office

ANNEX I

Tender Specifications

ANNEX II

Contractors Tender

ANNEX III

- Model for *specific contracts*

SPECIFIC CONTRACT

No [*complete*]

implementing framework contract

No [*complete*]

1. The European High Performance Computing Joint Undertaking (hereinafter "EuroHPC JU") in its own name and on its own behalf [and in the name and on behalf of the following national contracting authorities of the Participating States to the EuroHPC JU]:

[Participating State/ Participating State's national authority]

[Participating State/ Participating State's national authority]

[REPEAT AS MABY TIMES AS NECESSARY]

(hereinafter "National Contracting Authority (ies)(s)")

referred to collectively as the "Contracting Authority" or "Contracting Authorities"

2. [*Contractor's full official name*]

Legal form: [*Contractor's official legal form*]

Registration number: **[***Contractor's statutory registration number or ID or passport number***]**

Official address: [*Contractor's full official address*]

[*OPTION for contractors with VAT:VAT registration number*]

[*OPTION for joint tenders:* appointed as leader of the group by the members of the group that submitted the joint tender]

[repeat these data as many times as there are contractors in case of joint tender and continue numbering]

([*OPTION for joint tenders:* collectively] "the contractor"),

represented for the purposes of signing this specific contract by the authorised representative indicated in the respective field under "SIGNATURES" below

HAVE AGREED

ARTICLE 1 SUBJECT MATTER

1.1 This specific contract implements framework contract (FWC) No [*FWC number*], signed by the parties on [*FWC last signature date*]. The title of this specific contract is: "[*insert title of the contract*]".

The specific contract is established following the contracting authority's request for specific contracts [*request number*] of [*request date*] [and the contractor's documents submitted on [*date*]].

1.2 In accordance with the provisions set out in the FWC and in this specific contract and their annexes, which form an integral part of it, the contractor must provide the services specified in Annex I.

ARTICLE 2 ENTRY INTO FORCE, DURATION AND PLACE OF PERFORMANCE

2.1 This *Specific Contract* enters into force on the date on which the last party signs it.

2.2 The provision of the services starts [upon achievement of Milestone [x] (Operational Readiness for Phase [x]) and following the signature of the Technical Validation Certificate by the parties in accordance with Article I.13] [[on the date the specific contract enters into force] [on the date notified by the Contracting Authority with at least 7 days notice and in any case no sooner than the date of entry into force and no later than 3 months after the signature of the specific contract] ("effective date").

2.3 The maximum period of provision of the services [must not exceed [*number*] [*days/months/years*]] [must end on or before *DD-MM-YY*]. The contract shall end when the services have been performed (i.e. access time "consumed") and all parties have fulfilled their obligations (or when the contract is terminated). This period may be extended only with the express written agreement of the parties before the expiration of such period, in accordance with the provisions of the FWC.

2.4 The tasks shall be performed as specified in the [*Request for specific contract*] (including the place of performance) and as further specified herein.

ARTICLE 3 PRICE

3.1 The [maximum] amount covering all purchases under this *specific contract* is EUR [*amount in figures and in words*].]

ARTICLE 4 INVOICES AND PAYMENTS

4.1 Payment arrangements provisions are set out in the framework contract /*request for specific contracts*.

4.2 The contractor should send the invoice(s) for the interim payment(s) and/or the payment of the balance [via email at the following email address] [via the electronic exchange system].

ARTICLE 5 COMMUNICATION DETAILS

For the purpose of this specific contract, paper or email communications must be sent to the following addresses:

Contracting authority:

European High Performance Computing Joint Undertaking
Drosbach Building (DRB) - Wing E – 1st floor, 12E rue Guillaume Kroll, L-1882 Luxembourg
E-mail: GIGAFACTORIES@eurohpc-ju.europe.eu
E-mail for invoices: invoices@eurohpc-ju.europa.eu.

With copy:
[For the National Contracting Authority(-ies)]
Adress:
E-mail]

Contractor (or leader in the case of a joint tender):

[*Full name*]
[*Function*]
[*Company name*]
[*Full official address*]
E-mail: [*complete*]]

ARTICLE 6 PROCESSING OF PERSONAL DATA

9.1 For personal data contained in this specific contract or required for its management, the data controller is the [EuroHPC JU][*specify the controller if the specific contract is*] and can be contacted using the communication details mentioned under Article 5 above.

ARTICLE 10 LANGUAGE OF THE CONTRACT

10.1 The language of the specific contract, as well as the working and reporting language and the language for all written communications with the contracting authority and/or the project manager under this specific contract shall be [*indicate the EU language*].

[ARTICLE 11 ACCESS TIME

11.1. As a baseline scenario, the AI compute access time of the EuroHPC JU to the AIGF shall be structured as follows:

- [x] number of AI Chips-hours for L2 services, the not taking into account downtime of the infrastructure, divided equally across the [maximum] period of provision of the services.
- [x] number of AI Chips-hours for L3 services, not taking into account downtime of the infrastructure divided equally across the [maximum] period of provision of the services.

[For multi- site single- country [if necessary]]: the AI compute access time of the Union shall be allocated to [name of hosting site] of the AIGF and shall be structured as follows:

- [x] number of AI Chips-hours for L2 services, not taking into account downtime of the infrastructure, divided equally across the [maximum] period of provision of the services.
- [x] number of AI Chips-hours for L3 services not taking into account downtime of the infrastructure, divided equally across the [maximum] period of provision of the services.

[IF APPLICABLE: REPEAT AS MANY TIMES AS NECESSARY DEPENDING ON THE NUMBER OF SITES TO WHICH UNION ACCESS TIME WILL BE ALLOCATED]

[For multisite multi- country [if necessary]]the AI compute access time of the Union will be allocated to [name of hosting site] of the AIGF in [Member State] and shall be structured as follows:

- [x] number of AI Chips-hours for L2 services, not taking into account downtime of the infrastructure divided equally across the [maximum] period of provision of the services.
- [x] number of AI Chips-hours for L3 services not taking into account downtime of the infrastructure, divided equally across the [maximum] period of provision of the services.

[IF APPLICABLE: REPEAT AS MANY TIMES AS NECESSARY DEPENDING ON THE NUMBER OF SITES TO WHICH UNION ACCESS TIME WILL BE ALLOCATED]

11.2. As a baseline scenario, the access time of the [National Contracting Authority] to the AIGF shall be structured as follows:

- [x] number of AI Chips-hours for L2 services, not taking into account downtime of the infrastructure, divided equally across the [maximum] period of provision of the services.
- [x] number of AI Chips-hours for L3 services per year 1, not taking into account downtime of the infrastructure, divided equally across the [maximum] period of provision of the services.

[For multisite single- country[if necessary]]:: The access time of the [National Contracting Authority] will be allocated to [name of hosting site] of the AIGF and shall be structured as follows:

- [x] number of AI Chips-hours for L2 services, not taking into account downtime of the infrastructure divided equally across the [maximum] period of provision of the services.

- [x] number of AI Chips-hours for L3 services not taking into account downtime of the infrastructure divided equally across the [maximum] period of provision of the services.

[REPEAT AS MANY TIMES AS NECESSARY DEPENDING ON THE NUMBER OF SITES TO WHICH THE NATIONAL CONTRACTING AUTHORITY (-IES) TIME WILL BE ALLOCATED]

[For multisite multi- country [if necessary]] The access time of the [National Contracting Authority] will be allocated to [name of hosting site] of the AIGF in [Member State] and shall be structured as follows:

- [x] number of AI Chips-hours for L2 services, not taking into account downtime of the infrastructure divided equally across the [maximum] period of provision of the services.
- [x] number of AI Chips-hours for L3 services not taking into account downtime of the infrastructure divided equally across the [maximum] period of provision of the services.

[REPEAT AS MANY TIMES AS NECESSARY DEPENDING ON THE NUMBER OF SITES TO WHICH THE NATIONAL CONTRACTING AUTHORITY (-IES) TIME WILL BE ALLOCATED]

[REPEAT AS MANY TIMES AS NECESSARY DEPENDING ON THE NUMBER OF NATIONAL CONTRACTING AUTHORITY (-IES).]

11.3 The Contracting Authorities shall no later than ninety (90) days before the commencement of each *service provision year*, submit to the Contractor the annual forecast of the number of AI Chips-hours and respective level to be allocated for that year.

[Any of] the Contracting Authorities may, by written communication, adjust the above-mentioned baseline scenarios provided that such adjustment does not exceed ten (10) % of their annual baseline allocation or distribution between L2 and L3 services, without this modification requiring the prior approval of the Contractor.

Any modification exceeding the above mentioned 10% threshold, shall be subject to mutual agreement of the parties.

This shall be considered the “Annual Access Entitlement” during each service provision year.

11.4. Subject to the terms of this *specific contract*, the Contractor shall make available to the Contracting authorities the AI Compute Capacity corresponding to the Annual Access Entitlement during each service provision year.

Unless otherwise agreed in writing, the Annual Access Entitlement may be consumed at any time during the relevant *service provision year* in accordance with the scheduling procedures set out in Article 12. The Contractor shall maintain sufficient operational capacity throughout the *service provision year* to enable delivery of the Annual Access Entitlement in accordance with this FWC/specific contract. The AI access time is reserved exclusively once it has been scheduled in accordance with Article 12.

11.5. The Contracting Authority (-ies) may request the Contractor to implement additional specific technical requirements/ SLAs that are necessary for the contacting authority (-ies) and the use of the AI Compute capacity ordered under the specific contract throughout the duration of the specific contract. The contractor shall make every reasonable effort to accommodate such requests at no additional cost for the contracting authority (-ies).

12 SCHEDULING

12.1 No later than ninety (90) days prior to the commencement of each calendar quarter, the Contracting authorities shall provide the Contractor with a non-binding forecast of its anticipated AI Compute Capacity requirements for the forthcoming quarter, including as relevant anticipated workload profiles and workload criticality classification, anticipated peak demand periods preferred maintenance windows and scheduling priorities. Such forecasts are provided solely for planning purposes and shall not create any minimum usage obligation for the Contracting Authority.

12.2. The Contracting Authorities may submit scheduling requests for access to AI Compute Capacity at any time during the *service provision year*, with a cut-off date (Final Reservation Date) two (2) months before the end of the service provision year. Unless otherwise agreed by the Parties, requests for scheduled access shall be submitted at least thirty (30) working days before the requested commencement date.

Each request shall specify:

a) the requested access period;
b) the estimated quantity of AI Compute Capacity required;
c) workload profiles including workload criticality classification
d) any specific operational requirements reasonably necessary for the execution of the Contracting Authorities' workloads.

12.44. When submitting scheduling requests, the Contracting Authority (-ies) shall designate each submitted workload as Critical, High, Medium, or Low taking into account the following criteria: use (i.e. training or inference), mission or business impact, financial impact of interruption, public service impact, security implications; deadline sensitivity.

The Contractor shall use the assigned classification solely for operational scheduling, prioritisation, incident response, and resource allocation. Such classification shall not increase the Contractor's obligations unless expressly provided elsewhere in this FWC or *specific contract*.

Where the Contractor reasonably considers that a submitted classification is not appropriate, the Parties shall consult in good faith to determine the appropriate classification before execution.

12.5. The Contractor shall use best efforts to accommodate the Contracting Authorities' requested access periods and shall schedule the requested capacity in a manner that enables the Contracting Authority to utilise its Annual Access Entitlement during the relevant service provision year.

The Contractor shall retain reasonable discretion regarding:

(b) the timing and sequencing of workloads;

(c) queue management and resource allocation mechanisms;

(d) maintenance periods and operational interventions;

provided that such discretion does not materially impair the Contracting Authorities' ability to utilise their Annual Access Entitlement.

The Contractor shall confirm or propose reasonable adjustments to each scheduling request within five (5) working days, unless otherwise agreed.

Once confirmed, the corresponding AI compute capacity access time shall become exclusively reserved (Confirmed Reserved Capacity).

12.6: Where any portion of the Annual Access Entitlement remains unreserved on the Final Reservation Date, the Contractor shall notify the Contracting Authority (-ies) in writing.

The Contracting Authority (-ies) shall have ten (10) business following such notification to submit scheduling requests for the remaining Access Time.

If, following expiry of the period referred to above, any portion of the Annual Access Entitlement remains unreserved solely due to the failure of the Contracting Authority(-ies) to submit scheduling requests, the Contractor may designate such Access Time as Deemed Reserved Capacity.

Deemed Reserved Capacity shall:

(a) be treated as Confirmed Reserved Capacity made available to the Contracting Authority (-ies);

(b) be payable in accordance with this *specific contract/ FWC*;

(c) expire at the end of the relevant service provision year, unless expressly carried forward pursuant to Article 13.

12.7. The Contracting Authorities may request reasonable rescheduling of confirmed reservations by providing at least fifteen (15) working days written notice.

The Contractor shall not unreasonably withhold or delay its agreement where sufficient operational capacity exists.

12.8. The Parties acknowledge that actual utilisation may vary throughout the service provision year. Accordingly, monthly utilisation levels may deviate from any forecast or baseline allocation, provided that the Contracting Authorities' aggregate utilisation rights under the Annual Access Entitlement remain available during the relevant service provision year.

12.9. The Parties acknowledge that scheduling methodologies, workload management tools and operational practices may evolve during the term of this specific contract. The Parties may, by mutual written agreement, amend the practical scheduling procedures from time to time, provided that such amendments do not reduce the Annual Access Entitlement.

13. USE, CARRY FORWARD AND EXPIRY OF ACCESS TIME

13.1. Without prejudice to Article 13.2, access time which has been made available by the Contractor in accordance with this specific contract but is not utilised by the Contracting Authority (-ies), during the service provision year shall expire.

13.2. Any unused access time of the annual access entitlement shall be carried forward to the next year provided that it does not exceed 20% of the annual access entitlement.

13.3. The Contracting Authority (-ies), may also request, that unused access time exceeding the carry-forward allowance as per Article 13.2. to be carried forward and rescheduled. The Contractor shall consider such request in good faith and may approve it where doing so does not materially affect the utilisation of the AIGF or the rights of other customers.

13.4. Access time shall not be considered unused where utilisation was prevented by:

(a) Contractor's or AIGF (infrastructure) unavailability;

(b) failure to achieve the agreed Service Levels;

(c) failure of the Contractor to deliver the agreed Access time/ Compute Capacity; or

(d) any other breach of the FWC/specific contract attributable to the Contractor.

Such access time shall automatically be credited to the Contracting Authority affected and rescheduled without affecting the carry-forward allowance.

14. QUARTERLY CAPACITY STATEMENT

14.1. Within ten (10) working days following the end of each quarter, the Contractor shall issue a Quarterly Capacity Statement identifying per Contracting Authority:

(a) Annual Access Entitlement per level of service (L2 and L3);

(b) Confirmed Reserved Capacity during the relevant quarter per level of service (L2 and L3);

(c) Access Time actually utilised per level of service (L2 and L3);;

(d) Access Time shortfall (failure to render the agreed-upon services attributable to the Contractor) per level of service (L2 and L3);

(e) cumulative Confirmed Reserved Capacity during the service provision year per level of service (L2 and L3);

(f) remaining unreserved Annual Access Time Entitlement per level of service (L2 and L3);

(h) the Contractor's performance against applicable service levels/ SLAs

(h) any Service Credits or operational adjustments.

14.2. The Contracting Authorities shall review the Quarterly Capacity Statement within ten (10) working days following receipt. During such period, the Contracting Authorities may request reasonable clarification or supporting documentation.

The Quarterly Capacity Statement shall be accepted and signed by the Contracting Authority (-ies) unless the later notifies the Contractor in writing of a material issue within this period.

Once the issue is addressed, the Quarterly Capacity Statement shall be promptly accepted and signed.

14.3. The Contractor shall invoice only the Confirmed Reserved Capacity identified in the relevant Quarterly Capacity Statement.

Payment shall not depend upon actual utilisation by the Contracting Authorities.

Annexes

- Annex I to the Specific Contract No [complete] implementing FWC No [complete]: Request for specific contract
- [Annex [II] to the Specific Contract No [complete] implementing FWC No [complete]: [Contractor's documents submitted] of [insert date]]

Signatures

For the contractor,	For the contracting authority,
[*Company name/forename/surname/function*]	[*forename/surname/function*]
signature: Done on [*date*]	signature: Done on [*date*]

Annex I to the Specific Contract No [complete] implementing FWC No [complete]

Annex II to the Specific Contract No [complete] implementing FWC No [complete]

Annex IV - Group members' shares in total contract value for VAT purposes

[Specific Contract No. *[insert reference of the specific contract* implementing FWC No. *[insert reference of the FWC*]]

Contractor (Member of the group)	**Description of the supplies/services provided by the member**	**Total value of the supplies/services provided by the member**

The members of the group are jointly and severally liable to the contracting authority under the conditions set out in the relevant provisions of the [Framework] contract.

Signature of the Leader of the Group

[*Name of Leader*]
Done on [*date*]

Appendix I

Appendix II Service Level Agreement (SLA) (minimum requirements) for the Union and National Contracting Authority s' access time

In case the contractor fails to achieve any service level specified herein, the Contracting Authorities shall be entitled to any remedies provided for in the FWC/specific contract, including the application of liquidated damages in accordance with Article II.15 and/or reduction in price in accordance with Article II.16.

1. Service Availability and Continuity

- **Service Hours:** The AIGF services provided to users must be available 24 hours, 7 days per week, except when there is maintenance. A service can be requested during support hours.
- **Availability Targets:** The Contractor must ensure a monthly uptime of:
    - **Minimum 99.5%** for general compute and **AI Training** workloads.
    - **Minimum 99.9%** for **AI Inference** workloads (excluding scheduled maintenance).
- **Service Unavailability:** Calculated in minutes per calendar month. Outages are counted even if users do not open an incident. Excludes scheduled maintenance, force majeure, or user-induced errors.
- **Disaster Recovery - Business Continuity (Inference):** The Contractor must ensure for the disaster recovery a Recovery Time Objective (RTO) of ≤ 4 hours, and a Recovery Point Objective (RPO) of ≤ 1 hour.
- **External Connectivity:** The Contractor will seek 100% availability for external connectivity, allowing no more than 3 days of maintenance per year.

2. Performance and Capacity (Workload-Specific)

- **Common Requirements:** The Contractor must continuously monitor the infrastructure. To guarantee sustained performance, benchmarks must be executed regularly (at least every 1 year), achieving at least 90% of the performance measured at the system's initial installation.
- **Specific Requirements for AI Inference:**
    - *Latency:* P95 latency ≤ 300 ms for standard workloads. (Custom thresholds may be defined by Contracting Authorities and by common agreement of the parties for complex models prior to specific contracts).

- *Throughput:* The system must support dynamic auto-scaling to handle fluctuating workloads and guarantee baseline throughput capacity (measured in Requests Per Second or an equivalent metric) as defined by the Contractor in their tender. The Contractor must implement configurable queuing policies capable of prioritizing critical public sector services during periods of peak demand.

- **Specific Requirements for AI Training:**
  - *Job Stability:* The system must guarantee the stability of long-running training jobs and provide checkpointing support to prevent data loss during hardware failures.

3. Support and Incident Management

- **Support Hours:** Standard support is available from 8:00 AM to 6:00 PM (Hosting Entity local time), Monday through Friday. A single point of contact (helpdesk) must be established. The maximum response time during standard support shall be 30 min.

  For agreed critical inference services, 24/7 extended support must be provided.The maximum response time during shall be 10 minutes.

- **Support Structure:** The Contractor must maintain a three-tier support model to ensure the efficient handling of all service requests.
  - *1st Level Support (Service Desk)* serves as the initial point of contact for logging incidents, performing basic triage, and resolving common issues within the defined response targets (ranging from ≤15 minutes for critical incidents to ≤1 business day for low-severity issues).
  - Unresolved, configuration, or API-related issues escalate to *2nd Level Support (Technical/Application)* for advanced diagnostics and workarounds.
  - Finally, software defects, security breaches, or challenges requiring root cause analysis (RCA), patching, or model adjustments are escalated to *3rd Level Support (Expert/Engineering)* for specialized intervention and long-term resolution.

- **Incident Matrix:** The Contractor must resolve issues based on their direct impact on the Contracting Authorities' AI services and active compute workloads according to the following targets:
  - **Critical** (Service outage impacting essential services): Response ≤ 15 min | Resolution ≤ 4 hours.
  - **High** (Significant degradation): Response ≤ 1 hour | Resolution ≤ 8 hours.
  - **Medium** (Partial service impact): Response ≤ 4 hours | Resolution ≤ 2 business days.

- **Low** (Minor issue): Response ≤ 1 business day | Resolution ≤ 5 business days.

In case of reopening of an incident, the response and resolution times shall be reduced to half for the corresponding level.

- **Major Incidents:** For Critical/High incidents, a crisis unit must be established if unavailability exceeds 24 hours. A root cause analysis (RCA) report must be delivered within 5 business days.
- **Incident Escalation:** In case of operational issues affecting the availability of the services provided to users: (a) The Contractor will inform without delay the Contracting Authority's responsible person and propose corrective actions; (b) The Contractor will assess the severity of the issue and its impact on the users of the Contracting Authorities; (c) The Contracting Authorities and the Contractor will agree on the actions to be implemented; (d) The Contractor will monitor their implementation and provide feedback to the Contracting Authorities.

4. Maintenance and Updates

- **Scheduled Maintenance:** Must be notified to Contracting Authorities at least seven (7) days in advance. The Contractor will use reasonable efforts to coordinate with users to minimize impact.
- **Ad hoc Maintenance:** Applies to non-routine interventions, such as necessary security patching or urgent system updates. Must be notified to Contracting Authorities at least four (4) days in advance.
- **Emergency Maintenance:** Communicated without delay. No advance notice is required.
- **Regression Testing:** Applied when significant changes are made to the AIGF to verify that deployed models and training environments still function correctly.

5. Backups

- The Contractor must ensure that they have a properly backup policy that has been approved by the Contracting Authority with onsite and offsite backup solutions that ensures that the functioning of the AI gigafactory can be restored to a state that can provide back service to customers in case of user or system error. The Contractor must ensure a backup retention policy of at least 1 month to the users. However, the users shall be responsible for taking their own backups and Contractor shall not be liable for any adverse effects of any data loss, unless otherwise specified in the relevant user terms and data processing agreement. In such case, the Contractor shall make available to the Contracting Authorities and its users an amount of access time equal to processing hours lost without extra cost.

6. Traceability, and Transparency

- **Auditability:** The Contractor must maintain full audit logs for AI inference use (access events, inference metadata, system changes) for a minimum of 12 months.
- **Model Lifecycle (Inference):** The Contractor must support controlled deployment, versioning, rollback procedures, and provide prior notification of material infrastructure changes affecting model outputs.

7. Monitoring and Usage Reporting

- To ensure maximum utilization of access time, the Contractor must provide monthly reporting covering SLA compliance metrics, usage statistics, and incident summaries. Usage does not include unavailability or scheduled maintenance periods.

Appendix III. Service Reporting

The services provided by the Contractor to the Contracting Authorities will be reviewed based on monthly status reports provided by the Contractor to the Contracting Authorities.

Service Reporting must include at least:

a) Performance against service targets (Including SLAs)

b) Relevant information about significant events including at least major incidents, deployment of new or changed services.

c) Access time allocation

d) Detected non-conformities against the requirements of this Agreement

e) Customer satisfaction measurements, service complaints and results of the analysis ofof satisfaction measurements and complaints.

f) Workload characteristics including volumes and periodic changes in workload.

g) Trend Information on the performance and utilisation indicators described below.

h) Information on commercial use of the AIGF

i) Performance and utilisation of the AIGF, including at least the following metrics along with an analysis of the provided values:

Indicator	**Description**	**Period**
Number of submitted Jobs	# per partition	Monthly
Number of completed jobs	# per partition	Monthly
Number of failed jobs	# per partition	Monthly
Number of resources consumed per EuroHPC / National Contracting Authority (s)'project	# (core/GPU/Node hours) per partition per project	Monthly
Average job size per project	Cores/GPUs/Nodes per partition per job	Monthly
Average job waiting time	Hours per partition	Monthly
Average job completion time	Hours per partition	Monthly

Core/GPU/Node hours offered (available capacity) excluding downtime and maintenance	Total core/GPU/node hours per month	Yearly
Core/GPU/Node hours requested	Total core/GPU/node hours per month	Yearly

Table 2. Performance and utilisation Reporting values

The Contractor must provide the following periodic deliverables:

Ref.	**Periodicity**	**Title of deliverable**	**Due date**
KPI_month	Quarterly	Quarterly KPI report for previous quarter (monthly figures)	15th of the next month
PR_month	Quarterly	Quarterly Performance and utilisation report for the previous quarter (Table 2. Performance and utilisation reporting values of the Supercomputer)	15th of the next month
AR_year	Yearly	Audit report and data on the use of access time in the previous financial year	31st January
CR_year	Yearly	Audit report and data on the operation costs in the previous financial year. (Using agreed calculation method)	31st March

Table 3. Periodic deliverables